Banti

Interviewer: When you started your first SIP... what happened with you, or what was going on in your life that you thought about starting an SIP, or why did you start it?

Banti: For returns. So that I could get higher returns.

Interviewer: No no, not for returns. I mean, the question is this: Why did it happen?

Banti: Yes, the question is just about starting to invest, right? The earlier we invest, the better it is—from that perspective.

Interviewer: Okay. Did anything influence you in making this decision, like someone, or some content, or anyone specific?

Banti: Yes, yes, my friends were there.

Interviewer: I see. And from when is this, when you started your first SIP?

Banti: Two thousand sixte... sixteen.

Interviewer: Okay. And when you started this SIP, your first SIP, what were you trying to achieve behind this... what was your goal from this investment basically, or what did you want to achieve?

Banti: There was no goal or anything, I just wanted to invest. To get good money for returns, that's it, nothing else.

Interviewer: Right, and then you must have decided a specific amount for this, correct?

Banti: Yes.

Interviewer: So how did you decide that amount?

Banti: How did I decide the amount? Yes, like I only want to put this much amount, or whatever XYZ amount it is. Like that... the amount was decided based on my savings at that time, like how much my savings could be. Meaning, I can save this much based on that. I decided the amount based on that.

Interviewer: Okay. And when you started the SIP in the beginning, you must have been tracking it, right? Or looking at the investment portfolio. So... how were you tracking it? Were you tracking it weekly, monthly, what was the deal?

Banti: About tracking... tracking means what, in an SIP... it's an SIP of two to three thousand, what is there to track in it, how much is it really going to grow? I am talking about the first investment.

Interviewer: Tracking on its app.

Banti: Oh yes, yes.

Interviewer: Then why were you tracking it, that is my question.

Banti: Why was I tracking it like that?

Interviewer: What, what were you tracking, why were you tracking it?

Banti: I see, what was I tracking. Meaning, how many rupees increased. Meaning if there was a fluctuation in the market, by how much did our investment increase or decrease. And if suppose the market falls, then how much more money should we invest. I was tracking it from that perspective.

Interviewer: And you mean, how often did you check, meaning the time frame?

Banti: No no, there was no such time frame or anything. Meaning, if I remembered I would check it, otherwise it would just stay like that. Nothing like a strict time frame.

Interviewer: Okay. And do you ever recall a time when you looked at the portfolio and something surprised or confused you in your portfolio? In the initial days?

Banti: Hmm... hmm...

Interviewer: Did you understand the question?

Banti: No, no.

Interviewer: I am saying this: in the initial days when you used to check the portfolio, did you find something surprising or confusing in your portfolio when you checked it?

Banti: Surprising, confusing means it's like this, because the market fell...

Interviewer: No, surprising and confusing doesn't mean the market fell, it means if you didn't understand something...

Banti: No no no, I understood...

Interviewer: Whatever, when you are new, all these things happen, right.

Banti: No, I am telling you about the confusing part. If suppose the market fell, then the portfolio would go completely down. But in that proportion, if the market went up—like how much it decreased when it fell—it wouldn't increase that much when it went up. That was the confusing part.

Interviewer: Okay. And like when you started the SIP for the first time, the XIRR etc. used to be written there, right?

Banti: What?

Interviewer: When we start a new SIP or we start an SIP, there is one thing written there: XIRR, right?

Banti: Yes, yes.

Interviewer: XIRR. So did you ever get confused about what exactly this is? Meaning if it's showing me 25% right now, then what exactly is this 25%? Did you ever get confused or realized... meaning did you ever wonder what this is?

Banti: No, I never even looked at it.

Interviewer: I see. Meaning you were not looking at returns at all?

Banti: No, I wouldn't look at XIRR etc., I didn't understand it that much back then. Meaning just... if I put 10,000 today in it, and if the market went up tomorrow then by how much did mine increase, or if the market went down tomorrow then by how much did mine decrease; my attention was only on that, I didn't pay much attention to the rest.

Interviewer: I see. This monthly... now when you do the payment process that we do for SIP, do you have any negative experience, like sometimes for example it didn't deduct or sometimes it deducted more, or do you do it manually or have you set it to automatic?

Banti: No, I have set it to automatic only, but something like it got deducted (incorrectly) or a problem occurred, that has never happened with me.

Interviewer: Hmm. Meaning no such problem has occurred. But is yours manually or automatic?

Banti: It is automatic.

Interviewer: It's automatic. And you mean you haven't faced any such problem till today basically.

Banti: No, automatically... if there is money in the account it gets deducted, so I never faced a problem.

Interviewer: I see. Did you ever face a problem like money should have been deducted but it didn't get deducted, or it got delayed, or payment failed, has anything like this happened with you?

Banti: No, it has never happened with me.

Interviewer: Since you started the SIP, now obviously you... sometime or the other, the initial one according to me must not be running, you must have started a new one or you must have done something with it, right. So did you ever think that I should change this amount or pause this SIP or...

Banti: For what?

Interviewer: No no, meaning have you ever done it like when a new SIP...

Banti: Have I done this till now? Yes. When I needed money, when I needed money, that time I paused the SIP or withdrew money then.

Interviewer: I see. No no. Meaning in advance. I know now that I need money, in a month or two. You get to know, right. In that period. You paused the SIP, correct.

Banti: Hmm. Didn't stop it, paused it basically.

Interviewer: Correct?

Banti: Paused it, yes you can say I paused it, didn't stop it.

Interviewer: Okay. Now for example you have five-six, meaning two-three funds basically, okay.

Banti: Hmm.

Interviewer: So at that time how do you decide which amount to give to which fund, or have you ever done something like reducing the amount of one fund and increasing the amount of another fund? And why did you do this?

Banti: No, I haven't ever done that.

Interviewer: I see, you haven't done it at all. Meaning you haven't made any adjustments like this basically?

Banti: No, I never made such an adjustment.

Interviewer: Is that SIP running brother, first of all?

Banti: Yes, the SIP is running.

Interviewer: I see. Now one thing to me... yes, the next question was like... due to any financial circumstances did you ever close the SIP? You already gave that answer now.

Banti: What?

Interviewer: Has it ever happened with you that you continued the SIP, meaning... you felt like 'no, I won't be able to manage this month' but still you continued it, okay. Meaning you let it automatically deduct. Has this ever happened with you?

Banti: No, this never happened.

Interviewer: Hmm. Okay. How did you decide the mutual fund basically? Meaning when you were starting the SIP for the first time, what things did you look at and what did you...

Banti: What things, meaning, it felt very safe, it felt easy for me to invest in it.

Interviewer: Yes yes...

Banti: Easily means, to invest you need some platform right, in simple words.

Interviewer: No no no no no. Which fund to start, how did you decide this?

Banti: Which fund. Ah, by doing a little bit of Google etc.

Interviewer: You did Google etc. the first time?

Banti: Hmm. Hmm.

Interviewer: Why, why, why... when you started it, even your Jio hadn't come yet according to me, so how did you manage it then?

Banti: How did I do it... how, the main thing is...

Interviewer: Meaning tell me the reality, like, someone told you...

Banti: Reality... now I didn't think much like that.

Interviewer: In college other kids were talking about SIP so you also thought that let me try starting one.

Banti: Yes, you could say it slightly like that. That was an influence basically, in a way.

Interviewer: Can you say that?

Banti: Yes, there is no harm in saying so.

Interviewer: No problem, tell what it is. User interviews must be unbiased. So tell me what is yours. Leave me be, I will blabber anything.

Banti: Hmm hmm hmm.

Interviewer: So how did you decide then finally which mutual fund, which fund to start?

Banti: Which fund to start, how did I decide? Nothing, just by asking around here and there, you know.

Interviewer: Hmm. And now you... meaning when you must have started the new one the first time, okay. After that you must have started one, then maybe second or third, something like that you must have started, correct?

Banti: Hmm.

Interviewer: Or did you only have one, meaning how many SIPs had you started?

Banti: I had started only one fund mostly. I think I had started some fund of HDFC.

Interviewer: Hmm hmm. No, did you start another one after some days or did you continue the same one?

Banti: No no, after some days then I changed it.

Interviewer: Change, meaning you changed it, meaning you closed it, and started a new one, or that amount...

Banti: Hmm hmm. Directly changed the entire company, in simple words.

Interviewer: Meaning company, meaning started another new fund basically.

Banti: Yes, started another new fund, there is no harm in saying that either.

Interviewer: I see. Then why did you close that one? What was the reason for that?

Banti: Because its returns didn't seem right, that's why.

Interviewer: Okay. Now you don't have to answer this question as a banker. You have to answer this question according to a third year or a fourth year engineering student. Meaning I am asking why did you do it back then. So did you ever have a concern regarding your investment, like, man, now I should take this fund or that fund. Whatever confusion you had, okay. Or anything happened, and then how did you solve it, meaning if you got a question at that time.

Banti: Meaning at that time I would either ask this person or that person, or I would find it on Google itself.

Interviewer: I see. So did you ever, ever try to contact support saying 'brother I am having this problem' or 'guide me in this', anything like that?

Banti: Yes. I have done this too.

Interviewer: Are you feeling sleepy?

Banti: No no, I am not feeling sleepy, speak, speak.

Interviewer: Speak speak speak speak speak.

Banti: Yes yes wait let me read.

Interviewer: Has it ever happened with you that you now... now you can come a little forward in time, meaning your preparation days or maybe your initial job days. That you started a fund, and whatever your expectations were, it didn't meet those expectations, has this ever happened? And what do you think would be the reason behind it?

Banti: Repeat it.

Interviewer: I am saying this, you started a mutual fund, okay. And your expectations for that fund were different, okay. But after that, that fund didn't work according to your expectations. So because of that maybe you closed it or reduced its amount.

Banti: I switched it, switch, switch.

Interviewer: No no. So what could be the reason behind it? Because you must have started it after doing your research only.

Banti: Because initially I didn't know right, now like I first of all...

Interviewer: Safest fund is a hybrid fund.

Banti: I put it in a hybrid fund, but it didn't have that much returns. Then. Like when the market falls, units decrease. And compared to hybrid, the small cap's units were decreasing quite a bit, so at such times I would switch. Little by little money, from hybrid into a small cap fund.

Interviewer: Then doing a switch meaning, you would basically reduce the SIP amount, and increase the amount in the other fund or what did you do basically?

Banti: Yes, I would reduce the amount. I wouldn't reduce the amount. Our existing fund is there. You would do a lumpsum, like that? No, yes, no not like that, not like that. Our SIP keeps running. So in an SIP suppose there is an SIP of 5,000, in 5 months it became 25,000, so our fund became 25,000 right. But it doesn't feel right. It is not performing. So those existing 25,000, I will switch them into small cap.

Interviewer: I see, meaning you would take out all the money from that fund and put it in another fund, you used to do that.

Banti: Hmm hmm hmm.

Interviewer: Okay. Hello?

Banti: Yes, yes, one minute.

Interviewer: To you, when you were starting the SIP for the first time. At that time, what do you think if you had this... meaning which information you had, then... meaning I will read it in English. What do you wish you had understood better when you first start investment through an SIP?

Banti: Did you get it or should I say it again? I see. Meaning consistency is important. I understood this.

Interviewer: Man, my question itself is wrong. You misunderstood the question completely. Meaning basically, when you were starting the SIP for the first time, okay. At that time, what do you feel that you... meaning at the time you started the first SIP, first time, second time, whatever while changing funds. That if they had provided one thing from that app you were using to start it.

Banti: Tell me in English, I will tell you.

Interviewer: Oh brother... What do you wish you had understood better when you first start investment through SIP. Got it? Should I do it again?

Banti: No I understood it, that is what I told you. Meaning one should have a little bit of knowledge about the market, right. What are the types of small cap, large cap funds, I understood that.

Interviewer: According to our goal which fund to choose, I understood that.

Banti: I should have understood it. That is what the question became. We are talking about the time of the first SIP.

Interviewer: I see, at the time of the first time... At the time of the first time I didn't know anything at all. I just wanted to make an investment. So that is exactly what I am telling you, that what are the things you should have known, so that you would have made a good investment the first time, that is what I am asking. Now understand. Now take an example that you have to start an SIP today, now someone comes to you, and he says that I need to start an SIP right now in 10 minutes, 15 minutes, one hour. So then you, you don't talk about your bank, for that person, what is necessary, and what information you need in that app or whatever. What information is needed, or what information is needed about that fund, okay. Like that.

Banti: What information is needed about that fund.

Interviewer: Meaning if a person is investing for the first time, what should they see in the app so that they quickly... meaning they should start that SIP.

Banti: Should start it, now first of all they need that ROE calculator.

Interviewer: I see. The ROE calculator.

Banti: They, meaning they should ask. What are your goals, what is your risk taking capacity. And then. According to his risk taking capacity, they should put it in these funds, like that.

Interviewer: Now if you have to change one thing in your entire SIP investment, then what would it be and why?

Banti: What would it be in investment and why? Change. I don't really want to change anything as such, nothing. Change, meaning how, if in SIP suppose the lock-in period ones. If the lock-in period funds somehow get closed. Then it would be great.

Interviewer: Meaning the three-year ones, those funds that are like that.

Banti: The lock-in period ones, right. Or if suppose you don't allow closing the lock-in period ones, then at least there should be a plan to switch them. To switch the company or switch the fund. To switch to another fund, even if you keep a lock-in period there. Meaning like how, if our normal funds are not performing, we can switch them. But the ones with a lock-in period, if suppose they are not performing, the option to switch them doesn't even come up.

Interviewer: Okay okay. Meaning you can switch normal mutual funds, right?

Banti: Normal mutual funds can be switched anywhere, anytime.

Interviewer: Switch meaning taking out all the money and switching or...

Banti: No you don't have to take it out and switch, direct switch.

Interviewer: Meaning there is a fund in small cap.

Banti: So it can be put in another company's small cap.

Interviewer: Not another company's, it changes within the same company's, if you have to start in another company's you will have to fully withdraw it.

Banti: Yes yes yes what I understood, like I switched from HDFC's large cap to small cap, so that will happen within itself.

Interviewer: Yes yes.

Banti: So that HDFC money, HDFC's small cap money you cannot put in SBI's small cap.

Interviewer: Correct.

Banti: But that's what I am saying about the lock-in period one, they should allow switching it to another fund in it, even if you keep a lock-in period in it.

Interviewer: Hmm hmm hmm. Now we have talked about so many things, so do you feel like we missed something about SIP or your experience or?

Banti: What did we miss?

Interviewer: Do you feel like this thing is concerning and this thing should have been discussed but we haven't done it till now.

Banti: Ah... discussion, what things should it be on.

Interviewer: Now you are one... you are also a mutual fund distributor, correct?

Banti: Yes.

Interviewer: So now to you, what problem are you facing when you start SIPs for people now, you must be setting up auto-pay and everything. So while doing that process what problem are

you facing, leave the customer aside you give it to the customer but meaning in that product what problem are you facing.

Banti: Man, the biggest problem is people's PAN and Aadhaar are not linked. So they cannot invest. This is the biggest problem.

Interviewer: Now suppose you are a mutual fund distributor, suppose you are a bank, for example. No no, listen, listen I am not asking according to that, I am asking you now, now how is that a different thing, that your PAN thing means you cannot even start the SIP, does it mean that, right?

Banti: Yes. That is a major concern.

Interviewer: Meaning they cannot start the SIP, meaning I cannot start auto-pay or just the SIP start...

Banti: No no no no, if a person's PAN card is not linked with Aadhaar card. Then you cannot even generate their folio number. Okay then this is not our concern.

Interviewer: Now I will ask another thing. If these things are there, tell me according to this. Meaning leave this and tell me. Portfolio is made, first SIP is also started, after that what...

Banti: The major concern after that is... Shall I tell you? The most important concern is that the person should be able to pay the SIP continuously or should do continuous SIPs.

Interviewer: If he started the SIP he will do it right.

Banti: Now do you know what a lot of the problem is? A lot of people start SIP, they pay for a few days, stay for two-three months, everything, they want returns, they want everything, someone influences them or someone tells them a few things, they start that thing but that person doesn't even continue for 12 months.

Interviewer: Now like you must be starting it for a lot of people, correct?

Banti: Yes.

Interviewer: Now theirs is auto-pay only, it is auto-pay only.

Banti: Correct.

Interviewer: So because of that theirs gets deducted. And they now you start it for them imagine, there is money in their account too.

Banti: Yes.

Interviewer: For example now I don't have money in my account, okay.

Banti: Yes.

Interviewer: So then what will happen? Meaning will the bank apply charges?

Banti: Charges? Now if it is an SBI SIP, and an SBI account itself, then charges don't apply brother.

Interviewer: No no it's another SIP, because SIPs are also started from Groww right, meaning I am starting through Groww or maybe...

Banti: Starting through Groww, then no, such charges shouldn't apply, firstly because now it has become so easy, you are starting through Groww, you can directly give a mandate via UPI.

Interviewer: Yes yes.

Banti: With UPI mandate I don't think money charges apply if the SIP bounces.

Interviewer: Did you understand the UPI mandate?

Banti: Yes I did.

Interviewer: This UPI auto-pay is applied and which other auto-pay is applied then?

Banti: From the bank then there is an e-NACH mandate.

Interviewer: I see, I think its limit is 10 lakh rupees?

Banti: I don't know that much about it.

Interviewer: UPI's limit is 1 lakh rupees right, per month?

Banti: No the limit is 1 lakh per month yes. And the bank one that is there, through that you can put 10 lakh rupees at a time.

Interviewer: Correct. Now I did my dad's right, it is like that only, if you have to put a large amount or if you have to do something, then the big bank one has to be done, the card has to be attached.

Banti: So this is the thing.

Interviewer: Now I am stopping the recording.

AMOL

Interviewer: So the problem statement is basically this...

Amol: Yes.

Interviewer: That people who start an SIP for the first time...

Amol: Yes.

Interviewer: Why don't they continue it for 12 months, or why do they stop before 12 months, or before a specific timeframe that they have decided.

Amol: Yes, yes.

Interviewer: This is our basic problem statement, okay.

Amol: Okay, okay. Yes.

Interviewer: So, like when you look at your first SIP, it must have been a long time ago. At that time, many things were different. So I want to ask you this as a mutual fund distributor...

Amol: Yes.

Interviewer: I'll ask you some questions, alright?

Amol: Yes, yes.

Interviewer: And these questions will be a bit more from the user's perspective, so you should answer them from the user's perspective.

Amol: No, no, user's perspective is what's important, because I too...

Interviewer: No, no, I am not saying that. I mean, my questions are like this: A first-time investor, or someone starting an SIP for the first time... my focus is on them. So, you should guide me according to that, and you can also adjust the questions slightly to fit your perspective.

Amol: Yes, yes, that works.

Interviewer: Alright. So, just a minute... Basically, sir, when you are starting SIPs for people... I'll ask you a very direct, point-blank question. Why do you think people... what is the biggest problem in people not continuing their SIPs? I mean, for example, I started an SIP with you.

Amol: Yes.

Interviewer: And my goal is 10 years long.

Amol: Hmm, hmm.

Interviewer: But after a few years... I mean a few days or a few months, I tell you, "Bro, I don't want to continue anymore, I want to cancel it." What do you think is the biggest reason behind this?

Amol: Okay, in this... you see... this is distributed based on age. It's like...

Interviewer: No, no, no, you misunderstood. This is about a person starting a new SIP. Meaning they may have invested in one fund before, maybe through another channel, or maybe they haven't invested at all. A completely new person.

Amol: Okay, okay, okay. I mean, basically we don't have to consider those who start after the age of 45 or so. We have to consider only the first-time SIP as the criteria.

Interviewer: No, no, it could be anyone. It could be anyone, whether their age is 50 or 60, it's not a problem.

Amol: Okay. Alright, I'll tell you how it is. The first criterion usually falls into the 27 to 32 age group.

Interviewer: Hmm.

Amol: What happens there is that many times... people have contract-based jobs, their jobs get discontinued, and because their income stops, their SIP stops. That's the first reason. Secondly, sometimes what happens is... a company might be offering a CTC of, say, 5 lakhs, a take-home salary.

Interviewer: Hmm.

Amol: And for some reason, say layoffs or something, they get a new...

Interviewer: Sir, wait. Let's leave this aside. I mean, if that person has no money at all...

Amol: Ah, okay, okay. Leave that aside.

Interviewer: Then obviously, whatever happens, they won't invest, or they won't be able to continue because... that's an obvious point. If a person has no money, it's next to impossible for them to continue, right?

Amol: Okay. Yes.

Interviewer: Let's set aside the salary and job change criteria and focus on others. Money concerns aside, what else?

Amol: Okay. Second is... expected returns. What happens is, in many SIPs that start, they don't see returns for the first three years.

Interviewer: True.

Amol: I mean, sometimes their capital is invested, but they see less money in their capital.

Interviewer: True.

Amol: So the first reason for discontinuing an SIP in the first year is... people listen to others. Meaning, they listen to friends whose SIPs have already been running for five, six, or ten years. And their returns are around 12%, 10%, or 13%. But since this person has just started, not even a year has passed, and if they have invested 1 lakh, they might see a value of 70,000 or 80,000. They feel there's no point in this investment.

Interviewer: True.

Amol: They just withdraw the money and put it in a Fixed Deposit (FD). This is one issue. The second issue is... sometimes there's a medical emergency, or an emergency at home, and they have no other funds available.

Interviewer: That's exactly it, sir. I mean, the same point.

Amol: Oh, that falls under the first criterion. Okay.

Interviewer: Yes. Okay.

Amol: So, the second reason is... expected returns are not seen immediately.

Interviewer: Yes.

Amol: And the third thing is, some people start it as a pension after the age of 45.

Interviewer: Hmm.

Amol: But they start thinking, "I'm starting this now, but I have a 15-year period... meaning, I have 13 years until I turn 58."

Interviewer: Hmm.

Amol: But in that period, they think, "I won't be able to accumulate enough for my expected pension... what I'll need per month after retirement, I won't be able to save that much no matter what I do." This thought comes to their mind, and for that reason, many people stop it.

Interviewer: Hmm. These are the three major criteria.

Amol: Yes.

Interviewer: Now, let me ask you about this. What do you think... for example, it's better if I take my own example. Let's say I start a new SIP. I'm a new investor, I run a business from home, and my salary... I mean, I have no expenses, I live at home and work from home. So I want to go all-in on the market, I want a risky investment, I just care about returns. I have no concern about the risk, I can take full risk, okay?

Amol: Yes, yes.

Interviewer: So this is my mindset, or this is my requirement.

Amol: True.

Interviewer: Now, something happens, and a mutual fund representative tells me, "Our criteria... basically, the criteria behind our fund, or our expectations from this fund..." Let's take any small-cap fund, like Nippon. We look at Nippon and they say, "Our expectation for this fund is that it will be high-risk, but our goal is to give you the highest possible returns... basically, that's the vision for this fund." So, even though my risk is high, if a fund provides such clarity... would it be easy for an individual investor to start their first SIP? Because both of their expectations or visions align. Is that something?

Amol: Yes. No, it's not possible. The reason is SEBI has strict compliances, you cannot declare that your vision is this... you can say what your vision is, but you can't say exactly... like if an investor wants 12% or 13% returns, a fund manager cannot say, "We will give you 12% or 13% returns."

Interviewer: No, they are not talking about numbers.

Amol: Yes.

Interviewer: They are expressing their feelings or vision in words or something similar.

Amol: Yes, if it matches that way, you can do it. But there are two criteria for this. Firstly, is the person willing to take high risk? We suggest 75% equity and 25% debt. And if that fund fits within the 75% equity...

Interviewer: Hmm.

Amol: Then they can go for that fund.

Interviewer: No, the example I gave was about taking high risk. For example, if someone wants to play safe, they would go for large-cap. In a large-cap fund, the mutual fund distributor will say, "My goal is to provide you long-term returns from..." something like that.

Amol: Okay.

Interviewer: So it will align with them. Basically, what I want to ask is this: if a user's expectations or vision, and the mutual fund's specific scheme's vision... if these two things match...

Amol: Yes.

Interviewer: Would it be helpful for a new user?

Amol: Yes, definitely. If the plans and visions of both sync, it can definitely happen. No issue.

Interviewer: Okay. And... has this ever happened with you, or have you experienced it? Like, you have many clients who are on automatic payment, right? And some might be paying manually, is that correct?

Amol: No, I have stopped the manual option completely. It's only auto-pay now, directly from the bank account. The manual option is only for those who want to invest a lumpsum amount, and only if the amount is a minimum of 5,000 or above.

Interviewer: Okay. So, has it ever happened that you set up a mandate and everything, added automatic debit... but the bank didn't deduct the amount, or deducted it late, or something like that?

Amol: That happens in very rare cases. Mostly, it happens when there's an issue with the bank's KYC, or... sometimes businessmen keep, say, 10 lakhs, 15 lakhs, or 20 lakhs in their accounts right after Diwali, because in that case, the bank's daily limit isn't considered. Our mandate is a maximum of 10 lakhs. It doesn't go beyond that. So you can give a maximum of 10

lakhs at a time. If the amount is more than 10 lakhs, and by chance the mutual fund distributor doesn't notice it while making a transaction and places a single order of 15 lakhs...

Interviewer: Hmm.

Amol: In that case, it gets rejected. Otherwise, if you divide it within limits, it doesn't get rejected.

Interviewer: No, not for SIPs? It doesn't happen with SIPs?

Amol: No, it never happens with SIPs.

Interviewer: Okay. Fine. And sometimes, for example, I am doing an SIP and I don't have money in my account. What happens in that case?

Amol: In that case, you have to pay bounce charges. Like if you don't have the SIP amount, you get charged bounce charges by the bank. Every bank has different charges. For example, State Bank might be 250 rupees, Bank of India might be 350 rupees, so you are charged those amounts as a fine. And if your SIP bounces three times consecutively, that SIP automatically stops.

Interviewer: Okay. This is something I also noticed when I was talking to people. I realized that you can only skip an SIP three times; the next time you skip, it automatically stops.

Amol: It stops, yes, correct.

Interviewer: Okay. And if I want to restart it after skipping three times, I have to start a new fund or create a new folio basically.

Amol: Yes, I mean you have to do the whole process again from the beginning.

Interviewer: Okay, understood. So these are the things. And you also told me why people change the amount... Like, there are three funds.

Amol: Hmm.

Interviewer: You distribute 9,000 rupees equally among three funds... But then the person comes to you and says, "Bro, I can take a little more risk, I feel like taking some risk..."

Amol: Hmm.

Interviewer: "So increase the amount." What is your experience with this? What could be the reason for someone saying that?

Amol: Well, there are two aspects to this. One is the user's interaction. We manage their risk, so if they want to shift, we shift that fund. Secondly, looking at the global and national macros... For example, I'll tell you about mine. After this war... the US, Iran... I rebalanced 80 to 85% of my SIPs.

Interviewer: Hmm.

Amol: The reason is... I know what stocks are in each scheme.

Interviewer: True.

Amol: So, before the war, what was the situation, which sectors and stocks would perform and give returns, versus how the situation has changed after the war. So, keeping this criteria in mind, as a distributor, we have to do the rebalancing. So these are the two criteria.

Interviewer: Understood, understood.

Amol: Then...

Interviewer: And... we have talked about many things. Do you feel there's a specific thing that we missed that we should have covered? From the perspective of first-time SIP users. Who cancel their SIPs, their behavior, expectations... in terms of everything.

Amol: No, no, nothing additional. It's just what I said earlier... not forgetting their goal. There is only one point. It was done for 10 years, and let's say someone did it for a pension, someone for a house, someone for a car... Keep showing them that goal in their mind constantly, so that the SIP doesn't get cancelled. The second reason is... they can also take a loan against the SIP, up to 80%. If they have the capacity to pay the installments properly with interest, then rather than stopping the SIP, we suggest they take a loan, resolve their temporary issue, and then the SIP will continue.

Interviewer: Works. And... sir, I've spoken to one or two people... they have no goals basically, from this SIP. Their only goal is that they'll need money in the future—in 10 years, 15 years, or they might not even need it. They are just building up a kind of savings, an investment, so that they can use the funds if they ever need them.

Amol: Hmm.

Interviewer: There are people like that. So what about them? What happens in their case?

Amol: Then I just tell them... what is their age group and their...

Interviewer: Ah, okay. What is their...

Amol: And in which funds are they, usually? Equity or debt?

Interviewer: Equity. Plus debt, they have both.

Amol: Okay, so it's a random investment. It means... this is how I handle random investments that come to us. I'll tell you about my personal approach. Since everyone's goal is different, what I do is put 25% of the amount in an ultra-short fund. Like an emergency fund. And the remaining amount, if they want to invest 10,000, 2,500 goes to an ultra-short fund, and the rest goes to equity, what we call large-cap, mid-cap...

Interviewer: Hmm.

Amol: Meaning, if they need money in the future, say in 8 or 10 years, the fund...

Interviewer: So the fund, which we call an ultra-short fund, is not dependent on the market.

Amol: Right.

Interviewer: If they need money and the market is down, they shouldn't feel like, "I've invested a lakh, now it's 80,000, but I have no choice, I need to withdraw at a loss of 20,000." To prevent that, we separate it, saying, "Let the market fall, these are the funds I can withdraw, and I won't have to look at the main ones."

Interviewer: Fine. Fine. Understood, sir. I'll turn off the recording now. We are done with our questions.

Ishwar

Interviewer: These questions are from the time when you first started investing, right? Meaning about your first or second SIPs, those kind of things. All questions are related to SIPs, none are related to stocks, okay?

Ishwar: Okay.

Interviewer: So, when you were doing an SIP for the first time... what was happening in your life that you decided to start an SIP, and why did you start it?

Ishwar: Keeping retirement in mind.

Interviewer: I didn't get you?

Ishwar: When I joined my job...

Interviewer: Hmm hmm.

Ishwar: My job is private...

Interviewer: Hmm.

Ishwar: So going forward, for the long term... to have a corpus... like before retirement or...

Interviewer: Early retirement.

Ishwar: Yes... so I should have some money saved up and I should get good returns on it, I started the SIP with that objective in mind.

Interviewer: So did anyone influence you to do all this, or did you...

Ishwar: No, no one told me.

Interviewer: Did you tell any friends?

Ishwar: Yes, a little bit... You gave the introduction to SIP first, you gave it, then we started discussing it after maybe three-four years.

Interviewer: Okay.

Ishwar: Yes.

Interviewer: And YouTube too?

Ishwar: Yes, yes.

Interviewer: So now you invested, right? You started the investment, so what were your expectations? What did you basically want to achieve?

Ishwar: I already told you what I wanted to achieve. I wanted to build a corpus for retirement.

Interviewer: Hmm. And what were your expectations?

Ishwar: Expectations as in?

Interviewer: What do you expect from an investment? Nothing?

Ishwar: Oh yes... to get good returns.

Interviewer: I see. And how did you decide the amount... like I will add this specific amount to the SIP...

Ishwar: So, for the amount, I saw on YouTube that you should invest 20% of your income.

Interviewer: Hmm.

Ishwar: But at that time my salary was low, so I planned a budget based on that, and I figured I could spend this much money every month, I could put this much into investments. It was around... a thousand rupees per SIP, I had started three SIPs, so it was three thousand rupees.

Interviewer: You had three SIPs of three thousand rupees?

Ishwar: Yes. At that time, it was 10% of my total... my salary back then, right? Yes, it was 10%.

Interviewer: Okay.

Ishwar: Yes.

Interviewer: And for this SIP... this SIP you started...

Ishwar: Yes.

Interviewer: So for what time frame did you think of doing it? Like, why did you choose that time frame?

Ishwar: At least more than 5 years. I didn't set a maximum limit, but at least 5 years of investment.

Interviewer: Okay. And... as you... you must have seen over time, as you started your first SIP, over time you must have seen your returns change, right? Either going down or up.

Ishwar: Yes.

Interviewer: So what understanding did you get from that? Like, why is this happening or what is going on?

Ishwar: Firstly, the fluctuations in the SIP, the profit and loss, were due to the overall market. My SIP was performing well until last year... after that, it became somewhat stagnant.

Interviewer: Hmm. Okay.

Ishwar: And the ones I had chosen were three... one large cap, one mid cap, and one flexi cap.

Interviewer: And when you started the SIP... right. So on what basis were you checking it?

Ishwar: Meaning?

Interviewer: Meaning at what intervals were you checking it...

Ishwar: Initially... initially, I was checking it every day, then I realized there's no point in looking at it every day.

Interviewer: Hmm.

Ishwar: So now... it's difficult... maybe once a month, or once in two months I open and check it, it takes too much effort.

Interviewer: At that time what information were you checking... in the portfolio...

Ishwar: How much XIRR it's giving... how much is the current XIRR.

Interviewer: Hmm.

Ishwar: How much total returns have been accumulated...

Interviewer: Hmm.

Ishwar: And the rest is if the expense ratio etc. has changed.

Interviewer: Have you ever noticed anything when you looked at the portfolio... where you were completely surprised or confused, like 'what basically is this'? Did this happen?

Ishwar: Yes.

Interviewer: Why... I mean, what was going on?

Ishwar: Because I had three SIPs, right? Large cap, mid cap, flexi cap. My expectation was that flexi cap would perform much better.

Interviewer: Hmm.

Ishwar: But out of the three, the mid cap was performing much better.

Interviewer: Hmm, obviously.

Ishwar: More than large cap, more than flexi cap.

Interviewer: Hmm.

Ishwar: I felt... this is great, but you know its rating... the rating it is given... who gives the rating... the rating agency...

Interviewer: Hmm.

Ishwar: The rating was low, out of five...

Interviewer: Hmm.

Ishwar: So I said to myself, 'If it's performing so well, how come it's only a two out of five?'

Interviewer: Hmm.

Ishwar: But over time it increased, I think to four out of five.

Interviewer: Okay. And you started the SIP...

Ishwar: And one more thing, because the returns of all other mutual funds had fallen... mine didn't fall, mine kept going up steadily.

Interviewer: Okay. And when you started the SIP, did you do it on auto... automatically or did you do it manually?

Ishwar: No, auto... automatic.

Interviewer: And when you set up this mandate, did you face any difficulty when confirming the mandate?

Ishwar: No, back then it was through net banking, now it's through UPI.

Interviewer: Hmm.

Ishwar: There was no difficulty. Now it is easier through UPI because I can cancel the mandate anytime by going into the UPI app.

Interviewer: Okay. And when... did it ever happen with you that your automatic payment didn't go through? Meaning the SIP wasn't deducted... or the money was in your account but it didn't get deducted. Has that ever happened?

Ishwar: No, no, it has never happened so far.

Interviewer: Okay. And have you ever stopped or paused your SIP? And why?

Ishwar: Yes, I did it initially... meaning after three-four months... after two-three months I paused it because... another expense of mine had increased significantly.

Interviewer: So basically you needed the money elsewhere, which is why you paused it.

Ishwar: Yes, that's why I paused it.

Interviewer: Okay. Meaning there were no issues related to the funds, you just had a need elsewhere.

Ishwar: Yes.

Interviewer: Okay. And how many times have you paused it?

Ishwar: I did it for three-four months... then I paused it once or twice.

Interviewer: No, for three-four months...

Ishwar: Another time I did it, I joined BlackRock here... then I had to change brokers, so I paused it.

Interviewer: Okay. Then you paused it? Didn't you stop it? You transferred it.

Ishwar: No... because... I didn't stop it, I paused it... because I had to transfer it... the money shouldn't get deducted, so I paused it... because I didn't know how to do it... I just paused it for the time being.

Interviewer: Hmm.

Ishwar: I paused it, then transferred it, and then resumed it again. There was one difficulty... the one I transferred...

Interviewer: Hmm.

Ishwar: After that, I couldn't resume or recreate the SIP for two of the assets. A new one was created for one mid-cap asset. So they said, first invest a lump sum amount, and then your SIP will start.

Interviewer: That's correct.

Ishwar: Lumpsum doesn't mean a very large amount... but the initial amount...

Interviewer: 5,000 or more.

Ishwar: Yes, 5,000 or more, yes.

Interviewer: Lumpsum meaning 5,000. And when you paused the SIP, did you do it for consecutive months for the same SIP, or how did you do it?

Ishwar: Meaning?

Interviewer: I mean when you paused it...

Ishwar: Yes.

Interviewer: Did you pause the same SIP three times? Twice? Or did you pause different SIPs at different times?

Ishwar: No, no, all three together. When I paused initially, three-four years ago...

Interviewer: I paused all three.

Ishwar: I paused all three. And then I paused...

Interviewer: Oh, because it's like... if you pause twice, the third time it directly says that if you pause it the third time, the SIP will automatically stop.

Ishwar: I didn't see anything like that...

Interviewer: You didn't see anything like that?

Ishwar: No. It might be a different concept at that time. Okay.

Interviewer: We didn't do that at this time...

Ishwar: Meaning you basically never stopped it, you only paused it.

Interviewer: I paused it, yes.

Ishwar: Understood, okay.

(Interruption by a female voice asking for keys)

Interviewer: Who is this madam?

Ishwar: Mom. She's asking for the keys.

Interviewer: I see.

Ishwar: Mom, I am busy with some work. Can you come later?

Interviewer: Just a minute, just a minute, sir.

Ishwar: Yes, okay.

Interviewer: Speak, sir.

Ishwar: Hmm.

Interviewer: So now, you have been investing in SIPs since then... what motivates you to continue? Why do you want to keep investing in SIPs?

Ishwar: There's no particular motivation, as I said, I want to build a corpus.

Interviewer: Hmm.

Ishwar: And if it's giving good returns, I don't need to pause it... and I don't need the money right now.

Interviewer: And... like you mentioned earlier, you have three mutual funds, I think, right?

Ishwar: Yes.

Interviewer: So, did you ever decrease the amount in one mutual fund and increase it in another? Or did you do anything like that?

Ishwar: Oh, when... a year or two passed in the investment...

Interviewer: Hmm.

Ishwar: Then I wanted to increase the amount because my salary had increased.

Interviewer: Hmm. But I couldn't increase all three equally by 2,000 each.

Ishwar: So I first increased in one, then after some days increased in the second, then after some days increased in the third.

Interviewer: Okay. Meaning... but you didn't do it like, for example, your amount is... a thousand rupees, let's take an example. That you'll put 500 rupees in one and 1,500 rupees in another. You didn't do it like that.

Ishwar: No, I didn't do that, I didn't do that.

Interviewer: Okay, okay, understood. And were your goals for all three funds clear? Like, what you were taking each fund for?

Ishwar: The goals weren't clear, I'm just telling you... I just wanted to build a corpus, that's it.

Interviewer: No, no, that's a goal too, right?

Ishwar: Yes, that's what it is. No, but it's not like an individual... an individual goal... it's a complete portfolio goal, that a corpus should be built. Generally, how people have goals...

Interviewer: Like for a wedding, for a house, for a car...

Ishwar: There's no goal like that...

Interviewer: Okay.

Ishwar: The last time you... I mean you had a question or a concern about investment or SIP, how did you solve it?

Interviewer: YouTube?

Ishwar: Huh?

Interviewer: YouTube or Google. Just these two things you looked at basically, YouTube or Google.

Ishwar: Yes.

Interviewer: Okay, fine. But did you find the answer to your question? A satisfactory answer like you wanted?

Ishwar: Yes, I got it. Got it. Okay.

Interviewer: Now when you started the SIP for the first time, did you feel like your overall experience could have been better, in some specific area?

Ishwar: ...three-four years ago... I don't remember...

Interviewer: ...alright, no problem. I mean, you are continuing the SIP you took three-four years ago, right?

Ishwar: Yes.

Interviewer: Okay. And when you were starting your first SIP, right? You were completely new, right?

Ishwar: Hmm.

Interviewer: Did you feel like, if you had additional information about that fund, you could have made a better decision... or maybe you would have increased the amount, or whatever XYZ things could have happened in your favor. Did you feel that?

Ishwar: Forecasting could be there, because they show history, right, those brokers...

Interviewer: What do they show?

Ishwar: They show history, right, how it performed in the previous year...

Interviewer: Hmm hmm.

Ishwar: So it could show a forecast graph as well...

Interviewer: No, no, they don't show that now either, right?

Ishwar: Yes, they aren't showing it, that's what I'm saying.

Interviewer: No, no, I mean at that time... look, the difference between current knowledge and knowledge back then is like day and night, you were right.

Ishwar: I am saying that even then, when I invested the amount, for example...

Interviewer: Which app do you use first of all?

Ishwar: Previously I was using Groww, now I'm using Zerodha.

Interviewer: Hmm, Groww basically.

Ishwar: Yes. So it shows past performance... that's good. But if forecasting was shown...

Interviewer: No, actually, the thing is... the SEBI norms...

Ishwar: Any number...

Interviewer: Meaning you can't state it firmly, confirm it, or even mention it.

Ishwar: I see.

Interviewer: That's the rule. So they will never explicitly tell you a specific range.

Ishwar: Oh, they won't even tell you a range.

Interviewer: They don't even tell you a range. So that's how it is.

Ishwar: Okay. Fine, no problem. Okay.

Interviewer: Now, if you wanted to change something in your SIP experience back then, what would you change, other than forecasting, obviously? Experience... meaning, not in terms of... you could say... identification, maybe.

Ishwar: Overall experience, what could I change... I don't even remember as it's been many days.

Interviewer: Okay, let's say I give you a scenario. Today is the 29th, so your salary will be deposited in a day or two, right?

Ishwar: It's deposited today, but yes, assume so.

Interviewer: Let's assume it will happen. And you have some XYZ loan, let's say, and that's closed. You feel that you now have an additional 10,000 rupees. Out of that additional amount, you have this desire to start a new SIP scheme for 5,000 or 3-4,000 rupees basically.

Ishwar: Hmm.

Interviewer: So what will you do? How will you research, how will you identify the fund, which scheme will you choose, what exactly will you basically check?

Ishwar: First, I'd look at the top five, top ten funds on YouTube.

Interviewer: Hmm hmm.

Ishwar: Now he's given ten, he's named ten... from multiple videos, 10, 20... mostly they suggest the same ones. I would select 10 from them.

Interviewer: Hmm.

Ishwar: Out of those 10, I would look at... its history... how it performed. And most importantly, how it behaved during COVID in 2020.

Interviewer: Okay.

Ishwar: What are the holdings... in which companies.

Interviewer: Hmm.

Ishwar: And what is the size of the AUM...

Interviewer: Hmm hmm.

Ishwar: Yes, this is what I focus on mostly.

Interviewer: Okay. I'll tell you something additional from my side, tell me how much it matters to you. How much does the fund manager matter to you?

Ishwar: The fund manager and the fund manager's history... no, I haven't looked at that. I haven't looked at the one where I took the SIP until now.

Interviewer: Meaning you look for a fund manager, but you haven't looked at their performance?

Ishwar: I see. Okay. Did you know that behind every mutual fund there is one, or two, or three fund managers?

Ishwar: Oh yes, there's a fund manager... I have seen that. I searched on LinkedIn, but I haven't looked into how they are performing, which funds they manage, or their history. I saw there are fund managers, I looked at their names, etc.

Interviewer: Okay. Okay, okay. And the other thing... if you were to start a new SIP now, as we took an example.

Ishwar: Yes.

Interviewer: Your goal for that SIP, for example... is a timeframe of 5 to 7 years, and your short-term goal is to buy a car or whatever XYZ expense you have. So it's your goal.

Ishwar: This is your goal. Right.

Interviewer: So, is there any fund that mentions our criteria or our goals behind this fund? Like, "This mutual fund distributor or this fund, our goal for the user is what we are trying to achieve..."

by using this fund, they provide an assurance to the people that, "We want to give you maximum returns in a short period."

Ishwar: Hmm.

Interviewer: You understand this means the risks will also be high because they are saying they will get you the most returns. And your goal is also the same: you want to go all-in, it's fine. It's an additional amount, and you are basically ready to take a risk. So, if a fund mentioned your goals, and their fund's goals matched, would that matter?

Ishwar: Okay. It means you could start it like that.

Interviewer: Yes.

Ishwar: Okay. Because this is also a factor, right, which fund aligns with our goals, if someone wants to research, they don't know how much research to do...

Interviewer: Yes, yes. I see what you mean. The large cap, mid cap, and flexi cap you picked, right. The simple logic behind it is... "I need to build a corpus..."

Ishwar: Hmm. Large caps are for safety.

Interviewer: Hmm.

Ishwar: Mid cap provides a little balance...

Interviewer: Flexi cap as well...

Ishwar: Yes. You didn't take a small cap because the amount is a bit higher.

Interviewer: Oh... if it goes negative... you couldn't afford it...

Ishwar: Hmm. Okay, fine. Sir, basically you have one goal... it's a very simple goal: "I want money for the future, or if I ever feel like taking early retirement, I should have money with me so I don't have to worry, I can just close up shop and go." This is your goal right now, short-term goal, or a specific thing. Now, a lot of people think, "I want to get married. So I'll put money in for two-three years, and after that my money will grow, then I'll use it for my wedding." Like this.

Interviewer: Yes, right. So now we've discussed so many things...

Ishwar: Hmm.

Interviewer: In this... do you feel like we missed something that we should have discussed?

Ishwar: I can't recall right now.

Interviewer: Okay. And the problem statement I told you, that people start investing, a new investor...

Ishwar: Hmm.

Interviewer: They don't continue it for up to 12 months, maybe they withdraw it in the 2nd, 3rd, or 4th month. What do you think is the biggest reason for this?

Ishwar: I think the biggest reason is the need for funds. Other than funds...

Interviewer: If it's other than funds... the fund is obviously the ultimate truth, right?

Ishwar: Yes, one reason could be that... and the second reason could be that obviously, in the beginning, sometimes, if they start investing during COVID, it will look like a minus...

Interviewer: No, not during COVID, if someone starts now...

Ishwar: I'm giving an example... like the period right now, when the share market is stagnant. After starting to invest in that period, they might see it in minus for three-four months.

Interviewer: True.

Ishwar: It could happen that way too, they might think, 'Oh my god...' First-time investors might not know if it will turn positive or what, they just get panicked and withdraw to avoid losing more money.

Interviewer: Okay.

Ishwar: This seems to be a big reason. In this, we can perhaps do something like... if a new investor is there, and they look at their portfolio and it's in the red, we could give them a past example or something, saying, "You don't need to panic, this happens quite often, and it will give you good returns in the future." We can't say it like that... they have rules, right, but we could provide some indication, like, right?

Interviewer: You understand what I mean?

Ishwar: Yes, that's right. Yes.

Interviewer: Okay, fine, fine, that's it. I'll pause this now.

Pratik

Interviewer: So, these questions are about financial products.

Pratik: Hmm hmm.

Interviewer: So, when you started your SIP for the first time...

Pratik: Hmm.

Interviewer: At that time, why did you think about it or why did you start it... basically, what was your thought process before starting? Exactly what were you thinking? In your life, what was happening that made you think about starting an SIP?

Pratik: When to start an SIP, or which fund to choose?

Interviewer: When you first started...

Pratik: I was seeing a lot... I had just joined, and the market was booming then. After the COVID crash, it recovered... many people were saying they got this much return, that much return. So I thought, let me also start an SIP, I should start an SIP... that's how it happened. And we... we shouldn't invest directly in stocks because we didn't have the knowledge, we didn't know which stock to buy. So, I thought an SIP would be a good bundle of stocks to invest in.

Interviewer: Hmm. And when you started this SIP, what were your expectations or hopes from this investment?

Pratik: My expectation was...

Interviewer: Were there any expectations when you started the fund?

Pratik: My plan was to invest long-term, and if I had any end goal in mind... well, I didn't have one initially, but I thought maybe I'd buy a two-wheeler or something with a good fund.

Interviewer: So you had a specific timeline in your mind?

Pratik: There was no timeline. My timeline wasn't decided, but I thought I'd keep saving, as much as I could, but it was goal-based, like when I have enough accumulated, I will buy this.

Interviewer: I see. And how did you decide the amount... did you decide based on what you wanted to buy, or how did you decide the amount?

Pratik: No. After taking out all my expenses from my salary, whatever was left, I'd put it in stocks... some in good stocks, and I'd put some in the SIP.

Interviewer: So, based on your salary, you'd decide how to invest.

Pratik: Yes.

Interviewer: And in the first few months, how were you tracking your investment portfolio? At what intervals were you checking it?

Pratik: I'd look at it once a week. Every quarter, I'd look at the holdings, which ones have increased... which new stocks were acquired, which ones saw an increase or decrease in percentage... I would check all of that. On the Groww app, everything was visible. Which fund has what percentage of holding and all that. And the returns too.

Interviewer: And when you started new SIPs... you were using the app weekly... did you get confused anywhere? Like, there's a term 'XIRR' written there... what is this XIRR? Did you feel it was a bit awkward? Like, you invest your money... in the first month...

Pratik: Yes... what is this XIRR... I didn't know much about it, but slowly as I started checking it, I understood what it was, but XIRR was confusing initially.

Interviewer: And about the payment process...

Pratik: Hmm.

Interviewer: You would pay the SIP automatically, or manually?

Pratik: No, I haven't set up auto-pay yet.

Interviewer: Okay.

Pratik: I pay directly. Because I know the date... the due date, it gives an alert on that day. So I'd pay it... two days before the due date, basically.

Interviewer: Okay. So why didn't you set up auto-pay?

Pratik: The reason for not setting up auto-pay is... sometimes there's no balance in the account. Generally, there is, but sometimes if there isn't, it could fail, that's why.

Interviewer: And if it fails, what are the consequences in your opinion?

Pratik: I don't know, but there might be a penalty... I haven't checked that.

Interviewer: Has your payment ever failed, or have you ever forgotten to pay an SIP?

Pratik: No, it hasn't failed. I didn't forget either, but when I felt I couldn't pay the SIP this month, I skipped it.

Interviewer: So you'd just skip it... you wouldn't close it, you'd just skip it.

Pratik: Yes, yes, yes.

Interviewer: Okay. And as you started your SIP...

Pratik: Hmm, hmm.

Interviewer: Did you ever consider changing the amount, or pausing or stopping it... did that happen?

Pratik: Yes, many times I change the amount... like if we know we'll have more expenses next month, we change the SIP amount and date as well. That could be a reason. Like, if you know you'll have more expenses next month... you decrease the amount, or if you have fewer expenses, you might increase it to compensate.

Interviewer: Yes, yes. Right.

Interviewer: Can you describe a time... when you had to pause an SIP, or... you thought about stopping an SIP? What were the reasons... it could be financial, or it could be because someone influenced you to stop it and change it... whatever the reason.

Pratik: For me...

Interviewer: Yes, speak.

Pratik: I did it once, I withdrew completely...

Interviewer: Okay.

Pratik: And the reason...

Pratik: I had to give money at home, and I didn't have any liquid cash elsewhere, so I withdrew it and gave it.

Interviewer: I see, you had to give money at home... you had two SIPs at that time, and you closed both of them...

Pratik: I only had one at that time.

Interviewer: Hmm, hmm. So you had to give money at home, so...

Pratik: Yes.

Interviewer: User interviews are like this, raw... basically, from my experience with user interviews, my biggest concern is that I shouldn't influence you to give a specific answer. I am trying to avoid that.

Pratik: Hmm, hmm. True.

Interviewer: How did you decide... a specific mutual fund, or if you had to increase or decrease the SIP amount... basically, how did you decide this mutual fund is right for me?

Pratik: Why this mutual fund is good? I looked at its past returns... YouTube videos... and then decided. And I also look at their holdings... I look at which companies they invest in, how much... like before, in 2020 when COVID hit, what happened to it... which companies did they hold... What is the AUM size... I look at all this.

Interviewer: Okay. Is there any additional information I can tell you that would matter to you? How much does the fund manager matter to you? And their history?

Pratik: I haven't looked at that. I haven't looked at it before starting any SIP.

Interviewer: Meaning you haven't looked at the fund manager or their performance.

Pratik: No.

Interviewer: Do you know that every mutual fund has one, two, or three fund managers?

Pratik: Yes, there are fund managers... I haven't looked closely. I haven't really looked at which fund manager is managing which funds... how they're performing... I haven't looked at that. I just look at the fund manager's name...

Interviewer: Okay. And... for example, let's say we are taking a new SIP.

Pratik: Your goal for this SIP, for example... is a timeframe of 5 to 7 years, and your goal is to have some short-term plan... so it's a goal. So... there is a fund that mentions this criteria or goal. "This mutual fund or this fund... our goal is what we are trying to achieve for the user... we want to give maximum returns..." So this gives an assurance to people that "We want to give you maximum returns..."

Pratik: Hmm.

Interviewer: It means that the risk is high. They say "high risk, high return". You want to invest with high risk, so this matches your goal. You want to go all-in. So, if a fund mentioned this, and your goal and their goal align, would that make a difference?

Pratik: Hmm. It could happen. We could compare... that Nippon is good, Motilal Oswal is good... which one is better... how much is their small cap holding... you can compare. You can see how one is doing better than the other...

Interviewer: Hmm, hmm.

Pratik: Like Motilal Oswal has 50 small cap companies... and the other has 40. Why does it have 40... does it give a better return... we should know that.

Interviewer: Okay.

Interviewer: Do you think there's anything else you missed, something concerning... something about your first time doing an SIP?

Pratik: What was the concerning thing... in Groww, they had an AI assistant.

Interviewer: No... what is your own experience? Tell me about your own experience... besides Groww and Zerodha. Is there anything we haven't discussed, something you felt was important... like "I will get 10,000 extra tomorrow..."

Pratik: If you get 10,000 extra, you might consider starting a new SIP of 5,000. So what will your overall experience be... you won't look at the funds.

Interviewer: So how would you decide, or what would your experience be like? What should be added to make it a better experience?

Pratik: What would make it the best?

Interviewer: Like... what is the best mutual fund? You'll look at the fund manager, their history... the companies they hold... what is their short summary...

Pratik: Like... what companies do they invest in? And if they don't invest in a certain company... why?

Interviewer: So you mean the fund manager is investing your money... what's their thinking... what is their mindset... what are they trying to achieve... what is the criteria...

Pratik: Like, let's say they want to invest in Reliance... they might not invest in Reliance now, but at this price, what is the reason behind it? If they convey this to the investor, it would be a good connection...

Interviewer: So you're saying that the user should find their information more accessible, without having to research much?

Pratik: They should provide the research themselves and say "This is what happens when you do this, and this is why it is a good option."

Interviewer: So basically, what you're trying to say is that the fund manager's mindset... their investment criteria, should be clear. And for a first-time investor...

Pratik: They should have a guide.

Interviewer: Okay.

Interviewer: Hmm... so if someone is a small cap company, and it's at this price range... you should know the reason behind it. They shouldn't hide it... they should just say it out loud...

Pratik: It should not be confidential information...

Interviewer: Hmm... so a short summary like "Our mindset is this, we expect this..."

Pratik: Yes.

Interviewer: If you want to change something about your SIP experience, what would you change other than forecasting?

Pratik: Experience change...

Interviewer: The basic thing is to make it easy to redeem.

Pratik: To redeem...

Interviewer: No... to redeem your SIP investment experience... the app provides...

Pratik: Ah, basically, when you are starting a new SIP... they should enhance your experience... what additional things could they provide so your experience is better... like double or triple... what could be done?

Pratik: Like... it will be engaging...

Interviewer: Engaging?

Pratik: Yes, engaging... like you said you went out, did research, checked YouTube channels and reviews...

Interviewer: It shouldn't be a hassle.

Pratik: Yes, it should be simple and easy... no hassle. The overall experience should be better.

Interviewer: Like a comparison...

Pratik: Yes, for example, "Why should you invest in this fund?" You could compare... "What are the reasons... Exit load is less, there's no tracking error..."

Interviewer: Are there any tracking errors? I don't even know...

Pratik: People should know what a tracking error is, what the exit load is... like if you invest a certain amount, what will be the exit load... people don't know that. They just say 0.2%, but we don't calculate it.

Interviewer: Like a return calculator.

Pratik: If they explain it properly... that this is how things work. People will feel confident. We should know why we are doing it on the 1st of the month... we just do it, maybe we should know if investing on a different date would be better... we don't know that.

Interviewer: We should know if our money is doing its job...

Pratik: Yes, we keep our SIPs...

Interviewer: If we put it at the beginning of the month...

Pratik: You could miss the SIP if you put it late... we should know that.

Interviewer: You also have a habit now... you know you have this SIP on this date.

Pratik: You know the date, you have the salary, you have the SIP, you have rent, you have this and that.

Interviewer: Hmm.

Interviewer: Alright, I'll stop the recording.

Raj

Interviewer: One second. What's going on here... alright.

Raj: Hmm.

Interviewer: So all these questions are related to investments.

Raj: From what did you say? Investment? What did you say?

Interviewer: From what is it related? Investments.

Raj: Ah, investments. Alright.

Interviewer: So... so, when you were taking out your first SIP, right?

Raj: Hmm, hmm.

Interviewer: At that time, what was your thinking, what were you thinking when you took it out, and what was happening in your life?

Raj: Okay. So I started doing SIPs from the last year onwards.

Interviewer: Oh, okay, okay, from last year you started the SIP.

Raj: And we started with the Parag Parikh Flexi Cap. So the whole idea behind that... behind choosing that particular mutual fund, for that matter, was that I want a rolling return. That, brother, I want a consistent set of returns, which they have given over the past three-four years. So that I can be very, you know... I don't have that headache in my mind that, brother, how this is going to give returns in the future or how its performance will be. So that was the idea behind choosing that particular mutual fund. Now, what was happening in my life at that point in time... so at that time I was just starting out, thinking, brother, how do I start my investment journey and I should be starting with the... investment in the SIP part because that's where I'll be able to learn more about how they are performing, then I'll shift more towards choosing particular stocks. So that was an idea, that brother, I started the SIP, so that was going on in my life at that time.

Interviewer: Okay. Okay. So... so... at the time you were taking out the SIP, alright?

Raj: Hmm.

Interviewer: At that time, what were your expectations, and what did you want to achieve... was there a specific goal regarding that fund? Any fund can be the first, second, whatever...

Raj: So, to be really honest...

Interviewer: Hmm.

Raj: So to be really honest, I didn't have any such, you know, expectations out of that particular fund. Because the whole idea of choosing that particular fund was that I want to stay invested for a very long period of time... irrespective of whatever is happening in the market right now. Because I wanted to build that particular habit in my life, so that I am not very affected by the emotions that are going along in my mind when I see a particular set of, you know, mutual funds going down or somewhere it is going up. So I wanted to be very rational about my particular investment decision... so that I can bring that discipline into my, you know, way of investing, so that it will help me run... it will help me in the, you know, longer run. So that was the whole idea.

Interviewer: So how do you decide the amount you want to invest in that specific fund?

Raj: Okay. So, yeah, so there was no such idea or, you know, philosophy that I will be investing that particular amount of money in that particular SIP for that matter. The whole idea was that whatever I am earning at that point in time, at least 10% of that should go to, you know, that... in the form of that SIP. And in... even in those 10%, first 60% of that 10% would go in the first half of the month because actually, I do two SIPs in the same fund.

Interviewer: Hmm... understood. Hmm...

Raj: So you are talking about Parag Parikh Flexi Cap, basically.

Raj: Yes, yes. I have invested in two funds, first one is Parag Parikh, second one is HDFC Small Cap. So in Parag Parikh, I buy SIPs... I mean, I do SIPs two times a month.

Interviewer: Understood, understood. So... so like, I think you have two different types of SIPs in the same fund, so what is your goal behind it or what is your timeline? Have you thought about this?

Raj: So... if I talk about like, for how long I want to be invested... so, to be really honest, I didn't have much thought about it because I thought that at least I should be holding them for at least 10 to 15 years. Because right now... right now my whole focus is just to build wealth for the, you know, upcoming generation so that... whatever the scarcity that I faced in my life, I don't want that to pass on to my, you know... next generation. So that is the whole idea behind investing in those types of funds. And not only investing but also to stay invested in those particular funds, irrespective of whatever is happening in the market right now.

Interviewer: So what did you understand about how return might change over the over the time? Might change over the time.

Raj: See... to be really honest, I didn't have much expectations out of those particular funds. Even if I get 10% CAGR... and my invested amount is let's say... 20-20 lakhs in... as I step up SIPs in every single year, 10% or 15%... so I would be sitting at somewhere between 40-45 lakhs for that matter... And that's just, you know, the worst-case scenario I am telling you. In the bull-case scenario, when I am earning a lot more money than what I am currently earning right

now, so I would happily be, you know, stepping up that SIP by 30-40% every single year... year-on-year basis. So by that method, I'll be able to, you know, generate more alpha out of the amount that I am investing.

Interviewer: Okay, okay. So during the first few months, how do you keep a track of your SIP or your investment portfolio? Because you have new in the market, I think you will be checking in weekly, monthly, how is it happening?

Raj: Yeah, so when I was...

Interviewer: And what actually you have checking in the... if you have done the first SIP? What exactly are you checking?

Raj: So yeah... so there are two questions. First one is that, was I... I mean, was I so curious about that, whether I was checking it or not. So yeah, I was very curious about... if I have invested, so I started with 1,000 rupees, right?

Interviewer: Hmm...

Raj: So right after investing 1,000 rupees, from the next day or two, after two days onwards, I started checking my portfolio that, has it increased or not, has it increased or not. So that was the whole idea. But I understood with the passage of time that, oh, it is not something like that a particular stock that... because here we are investing in a, you know, pool of stocks. Yeah, not only for a long term, but we are investing in a basket of stocks. We are not investing particularly in the particular, you know, specific stocks. So that we can track the momentum every single day. So whatever the return that my fund will generate, it will be based on the pool of stocks that the whole, you know, fund manager is investing in.

Raj: Second one is... what was your second question?

Interviewer: What you have looked in your portfolio while you are checking regularly?

Raj: So yeah, so when I was checking my portfolio, I was just looking after what are the stocks that they have invested in because at that... after two or three SIPs, I got a bit understanding of how these mutual funds work and how they select stocks. So I was also checking that if I am doing research on that particular stock, is it available on those funds that I have invested in or not. Getting my point? So that was the whole idea. I was not looking after... I was not actually looking after the returns or all those... you know, how much... how it has grown in the last 20-30 days. I was just looking after if they are changing the stocks or not. So that was the...

Interviewer: Okay, okay. Understood. If they are changing their buckets... different types of buckets or not.

Raj: Hmm... yes, yes, yes. But then I realized, yeah, but then I realized that every fund has their own philosophy... and every fund has their own, you know, style of, you know, investing. For that... criteria, yes. Yes, yes. Fund managers. So they have their own philosophy, and I came to

know about it after a very long period of time. So I... I stopped, then I stopped checking the, you know, funds' performance or stocks for that matter.

Interviewer: Hmm. I remember that time. Hmm. Can you like recall, when you're checking the portfolio, you got, like, surprised or confused... so do you like... do you have experience this... like something like this? Like you are...

Raj: Yeah, continue.

Interviewer: So, as I told you that after six-seven months I stopped checking my portfolio, so I was in that, you know, perception that my portfolio, or for that matter my SIPs, would be grown so much at least in those six-seven months. But when I checked the portfolio, it was all red. So that was something that was very, you know, amusing to me because I expected that at least in six months the fund would have, you know, improved. But after checking those... my portfolio and the stocks, I was... you know, very surprised like, "Brother, this hasn't even grown." Because you are new to the investment...

Raj: Hmm... Yeah, yeah, yeah. You can... you can say that.

Interviewer: Okay, understood.

Interviewer: So you have said that you have... you two, you can say, you have three different types of SIPs.

Raj: Hmm.

Interviewer: So does this is automatically paid, or you have manually doing the SIPs?

Raj: Yeah, yeah, I have done the in-app mandate... for it. In... what is in-app mandate is that you give the access to your bank account that on a particular date, the particular amount will be deducted. Yeah, yes, yes.

Interviewer: And it's for automatic...

Raj: Yes, yes. So it is for every, like, for every SIP... yes, yes.

Interviewer: So like, when you are setting up this... do you find some difficulty or something like that, while setting up this... this auto payment?

Raj: No, no, I was... yeah, no, no, I didn't find...

Interviewer: Yogesh Sharma?

Raj: Yeah... I... ah... ah... It's not that I have Yogesh Sharma... when I was setting up the SIP... I didn't find much difficulty because first I learned about what... what if I have to, you know, stop that particular SIP, what I'll have to do. So I googled it and I found that okay, it's a very easy

process, it's not a very big deal for... big deal to do that. So it's not a very big deal, big thing. Okay, okay, understood. So I didn't find any difficulty.

Interviewer: So, like... do you like observe something like there is a payment issue with your SIP? Like let's say you have set up an SIP at a specific time frame, but you have also the money in the bank. But after having money... but your payment has not deducted automatically, do you face something like this?

Raj: No, I didn't face something very specific to this, but what I felt... what I've faced is that... as I mentioned for Parag Parikh Flexi Cap, my SIPs get deducted on the 13th and 26th of, you know, every month. But in the second half of the month... I mean, second half of the month, the second investment... whenever my amount is about to get deducted, it does not show very regularly on the... I mean, it should be showing very regularly even after deducting the amount, but sometimes it takes a day or two. Maybe it is because on that day the market is not open, or some holiday is on that particular date. So I think because of that it might happen, but yeah, apart from that, I didn't face any, you know, such thing.

Interviewer: So since starting your SIP, like have you ever considered changing the amount, pausing it, or stopping it, something like that?

Raj: Uh, yeah, so I didn't... I was not in that favor that I'll be stopping my SIP for one or two... but because I was bounded with my responsibilities that I had to put my money into some other place, so I did stop my SIP in... one or two times, but then after I got to realize that... after, you know, stopping the SIP for one or two months, I have only one chance left, and if I do this time, then I'll be... I won't be able to do SIPs...

Interviewer: Okay... basically you are saying this is a good point, you are saying that you can skip the SIP for one or two or three times, and after that, you will get... like automatically your fund or your SIP will get stopped...

Raj: Yes, yes, yes. Completely.

Interviewer: So which app are you using for this? I think it is Upstox... okay.

Raj: Hmm.

Interviewer: So like, this is the... this issue is with every app or you have experience of other apps or you have talked about this with other people? Do you know...?

Raj: No, no, I didn't... I don't have any idea of that...

Interviewer: But this is also one of the most important things, like if we can skip three times, then your fund will automatically get stopped, then you need to, if you want to start again, you need to do all the things overall...

Raj: Hmm. Hmm. Yes, yes.

Interviewer: Okay. Hmm. So basically you have stopped it for two months because you need to... like, put your money into something else...

Raj: Yes. You have some financial thing, obligations.

Interviewer: Okay, okay, understood. You have answered this, alright. Can you check...

Raj: Hmm.

Interviewer: So like, let's say I think you have stopped for two months... correct. And so after that, what is the motivation, or what is the... you can say, how you have started continuing the SIP after like stopping... because you have stopping that, yeah.

Raj: So... there is... to be really honest, I don't need any motivation to start... to start the SIP, because...

Interviewer: Because you have some difficulty, or you have some... yeah...

Raj: No, no, see, I don't need any kind of motivation to continue the SIP. See, the whole idea of stopping the SIP at that point in time was that I need money for some other purpose. That was, yeah, that was more important than, you know, putting that money into the SIP. So that was the whole idea, yeah. Hmm, hmm, hmm, hmm, hmm. Okay.

Interviewer: So you have said that you have three different funds... three different investments, but two different funds.

Raj: Yes.

Interviewer: So like, do you feel like you need to stop one fund or let's say change the amount of one fund and increase the amount of another fund? So do you, like, feel something like this... like, you think you have been investing for, let's say, 1+ years I think now. So do you feel something like this?

Raj: Uh, yeah. See... right after starting my SIP into Parag Parikh Flexi Cap, I also started investing in... there was another... HDFC Flexi Cap because... because...

Interviewer: For example, let's say... let's say HDFC, any fund.

Raj: Hmm. So I also started investing in HDFC Flexi Cap because when I saw the returns, I thought, okay, that it would be better than Parag Parikh Flexi Cap. But soon I realized that both of those... both of those, you know, funds are investing in the Flexi Cap, because both of those are investing in the same type of stocks. So it would make no sense because it will only get duplicated, right? And I would be... yeah. So I stopped that SIP and I, you know, pulled out that money and I invested in Small Cap Fund so that I have the, you know, balance of investing in... yeah, yeah, yeah. Different funds, yeah.

Interviewer: What like information you have checked... like I know what you have checked but I need it for the record.

Raj: So... for Parag Parikh Flexi Cap, I was not really into checking that particular stocks, like what kind of stock that they are investing in. The only whole idea was that I want to stay invested in the long period of time, and for that matter, even if I get less amount of return, then compared to the, you know, peer's mutual fund, I would be okay with that. And when I looked into the, you know, type of stocks that they are investing, so they were mostly investing in the large cap stocks... or the large cap companies... some, you know, companies like TCS, Infosys, Wipro... something like that. So I thought, okay, I should also be diversifying and for the diversification part, I started investing in the Small Cap Fund so that... I get the exposure of, uh, companies that are, you know, that are in the very growth stage. That they have the potential to, you know, be 2x, 3x. So I started checking the, uh, kind of investing, uh, kind of companies that that, those Small Cap or HDFC Small Cap Fund is investing in.

Interviewer: Works, works.

Raj: Yeah.

Interviewer: Tell me about the time... last time, you have a question or concern about your investment. What did you try to resolve it... like how you have resolved, do you reach out to someone, or do your research... like what you have done?

Raj: Yeah, so we were just... I was talking with Yogesh Sharma, and we were just, you know, discussing this particular stock. So he said, okay, this is the kind of stock that has given more than 400% return in just one year. So it was a kind of...

Interviewer: Let's stick to the SIP now.

Raj: Huh? Okay, SIP. So I didn't discuss anything much about the SIP, uh, I... when I had some doubts, I just...

Interviewer: You wasn't thinking about the long term, and everything.

Raj: Hmm... yeah, so I just, you know, forget... I just invested and forget. Yes. I just invested and forgot about it, like, what happened, what will happen, we will see.

Interviewer: So... I have this question, but for the record... like when you are stopping the SIP, one of the SIPs you have set, like... was there a point when you have experienced... you expect... or your goal is not met, basically.

Raj: Uh, no, I didn't, you know, think about such point where my SIP won't be able to meet up with my goals. Uh, I didn't have much, you know, much thought about it. I just thought, whatever I am investing, I just have to keep investing on that, and every single year I have to, you know, step up that SIP by 20, 30, or for that matter.

Interviewer: Understood. So let's say, if you have... when you are starting your SIP, let's say when you are starting your first SIP. So if you wish you had some better... like, what do you wish you have, uh, have understood better when you start your first investment or your first SIP?

Raj: Uh, I think... Are you talking about just SIP or are you also including the stocks?

Interviewer: I am talking about the SIPs.

Raj: Oh, SIP. So... to be really honest, I don't think I... think about that, that I was missing out on something, because, uh, when you start investing, you not only start investing in that particular fund, but you also start investing in your own knowledge. You learn how to behave in those crucial times when the market is not going according to your will. Right? So that is something that I believe that I should have learned a better way, because only then I was... I would be more, you know, disciplined regarding my investment journey. So that was the whole idea. Other than that, I don't feel that I should have learned more about it.

Interviewer: So let's say if you could change one thing about your SIP experience, okay? What would be it and why?

Raj: Uh, so there is one concept called, uh, growth kind of fund. So, what... in this type of funds, the fund manager what they do is that they pick... they keep changing, you know, the particular stocks based on their performance. So for example, if 10 small cap companies are performing really well... hmm... what they will do, they will, you know, re-adjust their portfolio and include those companies and remove those companies that are not performing. So I think, uh, I would have invested in those...

Interviewer: Like that...

Raj: Yeah, that type of fund as well, so I'd get the more exposure to that kind of investing also rather than just, you know, sticking to just small cap and flexi cap funds. So that is one thing. And another one is that... what was your second question? What you have looked in your portfolio while you are checking regularly?

Interviewer: Hmm.

Raj: So yeah... so when I was checking my portfolio, I was just looking after what are the stocks that they have invested in because at that... after two or three SIPs, I got a bit understanding of how these mutual funds work and how they select stocks. So I was also checking that if I am doing research on that particular stock, is it available on those funds that I have invested in or not. The improvement that I wish I would have done, uh, was that when there was a very bull run of, you know, in the commodity market. Like stocks, not only stocks but the silver and gold prices were skyrocketing. So at that point in time, I should have invested in those, uh, allocation funds... like, asset allocation funds, something like that.

Interviewer: You have invested, and then you have taken your money out? If you remember.

Raj: Uh... yeah, I... yeah, I did invest in a particular stock, but I was talking, since you are talking about the particular funds, then I should have, you know, done more investing in those as well. Although I did earn 60-70% on a silver ETF in just one or two... in just one month, yeah. In just one month I earned 60-70%. But, uh, I hardly invested two to three k in that, so the whole, uh, the gain out of it was not, was not that big that I should be, you know, celebrating.

Interviewer: Hmm, hmm, hmm. So, is there like anything that we have missed till now, and that should be like... we should discuss... do you have any thoughts about it?

Raj: Uh... No, no, I don't think we have missed anything, we really touched all the points... yeah, yeah, yeah, yeah, yeah. We went really deep into this, and obviously since this call was purely dedicated to the SIP, so we could not discuss other parts of... yes, yes, yes. Yes, exactly. So other than that, I think we discussed pretty much everything about it.

Interviewer: So let's say you have... you have now, you have the money... like, let's say you have an extra 10k from, let's say, next month. And next month is on like two or three days. And you are using XYZ app.

Raj: Hmm.

Interviewer: So... what do you think you will check, okay... while starting the new fund, first thing. Second thing, like what do you think that the app is missing while you are starting the SIP, while you are starting a new SIP... that information should be in the app, but you need to go outside the app or check over the internet. So yeah, this is the question, basically.

Raj: Okay, so you are basically asking two questions. First, if I am starting a, you know, new investment journey, let's say...

Interviewer: Next month.

Raj: Yeah. If I have 10k, and I have to start a new SIP.

Interviewer: 10k let's say you are... whatever XYZ amount. Let's say you have 10k, you are putting 5k or 3 or 2k in another fund, let's say it is... you are starting a new fund.

Raj: Okay, so I am starting investing in a new fund. So what I would be looking after is that I would be looking after something... I wouldn't be looking after all those flashy or very famous funds on the market. I would be looking looking after something, uh, Carnelian kind of fund. The fund that... that is now, you know, opened by... I mean Prasad has recently done an interview with that person. So he has a net worth of 1,000 crores, and he used to be, uh, co-chairman of Edelweiss, uh, Edelweiss fund. So, uh, he has started one fund called Carnelian Small Cap Fund. So I would be looking after something, those kind of funds, because they are run by, uh, the people who used to run the biggest, you know, uh, funds or HDFC Small Cap or let's tell on Parag Parikh Flexi Cap. The funds that you... that have given a large amount of returns. So I would be betting more on the person than on the return, uh, or then on the particular fund because that person has a track record of, you know, delivering exceptional returns. That is one

thing. Second, uh, the question that you'd be asking was that, uh, see, uh... when it comes to finding some, uh... when it comes to having some difficulties in finding particular types of information on that particular investment app, uh, I think, uh, one feature that should be there is that, uh... the track records of, uh, particular fund managers. Because it is very important, because at the end of the day, they are the people, they are the persons who are responsible for, you know, uh, playing with the stocks in that particular fund. So if we don't know how they have performed in their previous companies, hmm, hmm, how would we be able to, you know, access their track record or their, uh, expertise for that matter. Like how they are going to perform, uh, in this particular type of fund, because we have seen that in, uh... there was a fund called, I don't remember, it was a...

Interviewer: Let's say XYZ fund, whatever.

Raj: Hmm, hmm, hmm. So there was... it has given maximum amount of return in the small cap fund category. Uh, I am forgetting the name.

Interviewer: Not Nippon?

Raj: No, not not not Nippon... ok, yeah, Quant. So there were some people that were playing really good with those particular types of funds or those stocks, uh, because they were buying it on time and they were selling it on time.

Interviewer: They are using algo trading.

Raj: Yeah, not exactly algo trading, but... kind of algo trading.

Interviewer: Kind of algo trading you can say, algo manual trading, you can say.

Raj: So basically you are saying is, first thing first, you will not only check the return, you will check which person is handling that specific fund and track record. And second question's answer is also related to that, because... in currently... app is not providing the details of that person, I think.

Raj: Hmm.

Interviewer: Correct?

Raj: Yes.

Interviewer: What they are providing then? They just provide the normal basic numbers, name of a person...

Raj: Yeah, name, fund managers, and they are basically not providing all the names of all the fund managers, they are just providing the names of very famous ones. Like, for that matter, in Parag Parikh Flexi Cap, they are only talking about Rajeev Thakkar.

Interviewer: Hmm... yes...

Raj: So let's say if they are providing the person's name as well as they will provide one link that will open and provide the summary of that specific person.

Raj: Hmm.

Interviewer: So how this will help you, like, making the better decision? Like you... I think this, basically you will understand their mindset and you will understand their thinking...

Raj: Yes.

Interviewer: And this is how you... this will help you, correct?

Raj: Yes, yes. Correct.

Interviewer: Let's say... let's say, if some... if they are... let's say Parag Parikh... Parag Parikh has, I think, two or three funds, or five funds maybe more, not more than that.

Raj: Hmm.

Interviewer: So they are managing, and each fund has a specific thing to, they are focusing on.

Raj: Yes.

Interviewer: So let's say, if I am providing you with one thing... first is the name of a person who is behind that fund, and what is the criteria or what is the thinking behind that. Does this help you?

Raj: Hmm...

Interviewer: Like let's say... let's say you are trying to buy another Parag Parikh fund, let's say.

Raj: Hmm.

Interviewer: Okay. And you will get the data of all the persons behind that, but also you will get additionally, what are their criteria of choosing specific companies to invest in... or you can say what is their thinking model, like what are their goals. Let's say, I am the fund manager or I am the fund. And if the expectations of mine and yours align...

Raj: Hmm.

Interviewer: Or you can say, what is my expectation and your expectation... that will be aligned, does this help you? Like let's say, I provide that I want... I want some exponential return. Like, let's say I want this fund to be a top at their category... let's say I have provided this kind of expectation.

Raj: Hmm.

Interviewer: So does this help you?

Raj: Uh, no. I mean, see, there is one thing like, uh, kathni aur karni mein farak hota hai, kehte hai. (Saying and doing are two different things, they say.)

Interviewer: Hmm, hmm.

Raj: So, anyone can promise exponential returns, but are they able to deliver it on that...

Interviewer: No, no, I am saying I am just giving you an example. I am saying they will provide you a criteria. Let's say...

Raj: Okay. Let's say your thinking and their criteria has... uh... is aligned or not aligned. If they have provided you the criteria, does this help you in making a better decision?

Raj: Yeah, it will help me. It will, it will, it is definitely going to help me because... uh, there are two ways to look at this. First one is that, if whatever they are saying, if they are able to deliver on that, so we will get that... we will get the understanding of the... of that by looking at the past performance of them, right? Second one is that, uh, uh... second one is that, uh, if I don't believe in their vision, how would I, how the hell on this earth is it going to help me, uh, have better decisions? Because if I have made my mind, if I have, you know, made my mind into let's say 40, 40... 45%, 50%, that I want to stay invested in that particular or I have to start investing in that particular fund... so first I will have to believe... in whatever the management or whatever the fund manager is saying to me. Only then I'll invest, and then after getting those results, irrespective of the fact that whether the results are positive or negative or, you know, they are flat, uh, for XYZ reason, I will have to believe on that particular, on those... on the words of the fund managers, right? So I don't have any much option since I am just starting out...

Interviewer: Works, works.

Raj: Hello?

Interviewer: Yeah, yes, yes. Okay, I'm stopping the recording.

Resham

Interviewer: One second. What's happening here... okay. So, all these questions are related to investments.

Resham: Investment... okay...

Interviewer: So when you were starting your first SIP...

Resham: Hmm.

Interviewer: What was your mindset, what was happening in your life that you decided to start an SIP?

Resham: First of all... it helps to save a little bit... whatever I have. And the unnecessary... like, if some money was saved, it would get spent...

Interviewer: Hmm...

Resham: So in that way, instead of it getting spent, if it's invested somewhere at some point... that was a thought process, so I invested.

Interviewer: Okay. Right now we're talking about the first SIP, or the initial days of SIP, alright?

Resham: Okay.

Interviewer: So, to make this decision, did anyone influence you or did you... I mean, why did you feel this way? Like, this is one reason, that money was being saved and it would get spent. Was there any other additional reason?

Resham: Additionally... if I want to retire early, this amount will be useful after 40 or 50 years. According to that... I wanted to start an SIP early. And I started it quite early too.

Interviewer: Hmm hmm. So... what exactly...

Interviewer: So from this, what basically did you want to achieve by starting the SIP? I mean, like you said... that...

Resham: Financially... or early retirement...

Interviewer: So... that's one reason, right.

Resham: Hmm.

Interviewer: So, was there anything additional in that...

Resham: Early retirement cost... basically to save up...

Interviewer: That was the main reason basically.

Resham: That was the main reason for me.

Interviewer: Okay, fine. So how did you decide the amount... basically... for the SIP you had to do, how did you decide its amount?

Resham: I decided the amount... based on how much was left over after my monthly expenses. And when I was working, when it was my first salary, based on that I felt that... I had this much amount left, so I should invest at least this much.

Interviewer: Okay.

Resham: Then I'll increase it by 20%. I decided all this by getting knowledge from here and there.

Interviewer: Okay, okay. So, did you have a specific timeline for this? Like, I have to invest for this specific timeframe... and then my... whatever you told me, your goal...

Resham: Hmm.

Interviewer: And basically, you had a goal behind it that, "I will invest until this timeline, and I'll achieve my goal."

Resham: Hmm... initially, I only had one SIP.

Interviewer: Hmm.

Resham: I hadn't set any goal for that. My main motto was just that whatever is saved, it should be invested in a good place.

Interviewer: Hmm.

Resham: But right now I have some SIPs where I have kept a target that after 2 or 3 years, whatever amount it takes, I will get it. I consulted my relationship manager for this.

Interviewer: Hmm. So what was the reason behind this... like people say SIP is a long-term game... people suggest keeping it for at least 5 years, 7 years, 10 years.

Resham: Hmm...

Interviewer: So the 2-3 years target you set...

Resham: Hmm.

Interviewer: So basically... you were thinking of saving up...

Resham: No... the 2-3 years one, I thought of it as a short-term goal...

Interviewer: According to the short-term goal.

Resham: According to the short-term goal... like in case, like I'm getting married now... so that amount will be useful for me, so I invested it for that.

Interviewer: Hmm. So, like about returns... like what did you understand about returns, or how returns change over time? What did you understand about it?

Resham: The main thing is that everything depends on the market... and what's happening globally, how it's impacting the Indian market.

Interviewer: Did you understand this the first time?

Resham: Not the first time...

Interviewer: I didn't understand all this the first time.

Resham: Okay. But you have to stay very updated according to the news. First of all... the good shares that have been running well for 20-30 years, like Tata... so I invested first in funds that seemed trustworthy, the ones whose names are known.

Interviewer: Okay.

Resham: Yes.

Interviewer: And when you started your first, second SIP...

Resham: Hmm.

Interviewer: So how often did you monitor it?

Resham: 3 months, 6 months like that... not frequently.

Interviewer: Basically you didn't check it frequently.

Resham: No, no.

Interviewer: And what's the reason behind it? Because, usually people told me that when I was a new investor...

Resham: Hmm.

Interviewer: I would look at my portfolio regularly... you didn't do anything like that?

Resham: Hmm.

Interviewer: Basically, your concept was clear... that for me, it's for the long term, so there's no point in checking it every day.

Resham: Yes, in SIPs it's clear that immediately... I mean daily checking has no point.

Interviewer: So how often did you check... like the timeframe, if you want to say...

Resham: Mostly 1 month... essentially 1 month.

Interviewer: And which information were you checking in it?

Resham: Mostly returns... because back then I didn't understand much... I was just seeing if there were returns, if anything had happened or not.

Interviewer: So returns basically mean just the percentage.

Resham: The profit percentage.

Interviewer: But there is one more concept in it... some people show XIRR, many apps show it.

Resham: Hmm.

Interviewer: So did you ever get confused by looking at it?

Resham: No... initially I didn't look at it. Initially I didn't know much about it. But later I started checking it.

Interviewer: Did you ever have a confusion or surprise when looking at the portfolio?

Resham: Hmm... no, no surprise. I mean basically, when I invested, I could see this much... how much amount is invested, how much profit or loss, or what is the 1-day return... that's all I could see.

Interviewer: Which app were you using initially?

Resham: Groww.

Interviewer: Groww.

Interviewer: So in the SIP you just started...

Resham: Hmm.

Interviewer: You use auto-pay, right? Or do you do it manually?

Resham: Auto-pay.

Interviewer: Auto-pay. And at the time you set up the automatic mandate, did you face any difficulty in setting it up?

Resham: Hmm... no.

Interviewer: And when you set up the mandate, have you ever experienced your SIP... not going through, like the date passed but the SIP wasn't deducted, or it got delayed? Have you faced anything like that from the bank's side?

Resham: Uh, no. Never so far. Since I started.

Interviewer: Have you ever noticed that you started an SIP...

Resham: Hmm.

Interviewer: You have started multiple SIPs now...

Resham: Hmm.

Interviewer: I think... you said we also started many SIPs initially...

Resham: Hmm.

Interviewer: So, let's say a fund is XYZ, you started two or three funds.

Resham: Hmm.

Interviewer: So in those... have you ever changed the amount? Like you changed the amount or paused it? Have you ever done something like that?

Resham: I haven't changed the amount... I have paused it.

Interviewer: For how long... for what timeframe did you pause it?

Resham: For 3 months.

Interviewer: But I think after 3 months it doesn't continue, right? It stops.

Resham: No... it does. It doesn't. If you pause an SIP for more than 3 months... it will stop automatically.

Interviewer: From what I know...

Resham: When was this?

Resham: This was recently... I guess two months back.

Interviewer: So was this the same fund or how was it?

Resham: It was a different fund.

Interviewer: No, I mean, you continuously paused one fund three times?

Resham: Yes.

Interviewer: Not three times...

Resham: Hmm.

Interviewer: You paused three funds once each.

Resham: One time each, yes.

Interviewer: Ah, so obviously... that makes sense, brother. Then it's fine. I mean basically, it happens when you pause one fund three times continuously, right? Then it stops, and you need to... if you want to restart it, you have to do the whole process again...

Resham: Hmm, hmm.

Interviewer: So basically you paused it for 2 months because you had some financial obligations.

Resham: Yes.

Interviewer: Okay. So, like let's say, I think... you have stopped it for two months...

Resham: Hmm...

Interviewer: Correct. And so after that, what is the motivation or what is the... I mean, how did you start continuing the SIP after stopping...

Resham: Hmm.

Interviewer: So, to be really honest... I didn't need any motivation to start the SIP, because...

Interviewer: Because you have some difficulty, or you have some...

Resham: Hmm.

Resham: No, I mean, I don't need any kind of motivation to continue the SIP. The whole idea of stopping the SIP at that point was because I needed money for some other purpose. That was more important than putting the money in the SIP. So that was the main reason...

Interviewer: Okay, hmm, hmm, hmm... Okay.

Interviewer: So you said you have three different funds... three different investments but two different funds.

Resham: Yes.

Interviewer: So, did you feel that you need to stop one fund, or let's say change the amount of one fund and increase the amount of another fund?

Resham: I started investing in HDFC Flexi Cap because when I saw the returns, I thought it would be better than Parag Parikh Flexi Cap. But I soon realized that both of those funds are

investing in Flexi Cap, they are investing in the same types of stocks, so it wouldn't make sense as it would just be duplicated, right? So I stopped that SIP, and pulled out the money, and invested in a Small Cap fund, so that I have a balance of investing in different funds... yeah.

Interviewer: What information did you check... like I know what you checked, but I need it for the record.

Resham: For Parag Parikh Flexi Cap, I wasn't really focused on checking the specific stocks they were investing in. The main idea was that I wanted to stay invested for a long period, and even if I got slightly fewer returns compared to other mutual funds, I would be okay with that. When I checked the type of stocks they were investing in, it was mostly large-cap companies like TCS, Infosys, Wipro... so I thought I should diversify. So I started investing in a Small Cap Fund for exposure to growth-stage companies... companies that have the potential to be 2x, 3x. So I checked what kind of companies that HDFC Small Cap fund is investing in.

Interviewer: So, let's say... tell me about a time... the last time you had a question or a concern about your investment. How did you try to resolve it? Did you reach out to someone, or do your research? What did you do?

Resham: Yeah, so we were just... I was talking with Yogesh Sharma, and we were discussing a particular stock. He said this stock had given more than 400% return in just one year. So it was a kind of...

Interviewer: Let's stick to the SIP now.

Resham: Okay. SIP. I didn't discuss much about the SIP... when I had doubts I just...

Interviewer: You weren't thinking about the long term, and everything.

Resham: Hmm... yeah, I just invested and forgot about it... "We'll see what happens."

Interviewer: So, I have this question, for the record... when you were stopping the SIP, was there a point where you felt your goal wasn't met, basically?

Resham: Uh, no, I didn't really think about it not meeting my goals. I just thought that whatever I am investing, I should keep investing in that, and every year step up the SIP by 20-30%.

Interviewer: Understood. So if you were starting your first SIP... what do you wish you had understood better when you started your first investment?

Resham: I think... are you talking about just SIP or including stocks?

Interviewer: I am talking about the SIPs.

Resham: So... to be really honest, I didn't feel I was missing out on anything because when you start investing, you are also investing in your own knowledge. You learn how to behave during crucial times when the market doesn't go your way. So that's something I believe I should have

learned better, so that I could be more disciplined regarding my investment journey. That was the whole idea.

Interviewer: If you could change one thing about your SIP experience, what would it be and why?

Resham: Uh, so there is one concept called a growth kind of fund. In these types of funds, the fund managers keep changing the particular stocks based on performance. For example, if 10 small cap companies are performing really well, they will re-adjust their portfolio to include those companies and remove the underperforming ones. I think I would have invested in those...

Interviewer: Like that...

Resham: Yeah, that type of fund as well to get more exposure rather than just sticking to small-cap and flexi-cap funds. And another thing... what was your second question? What you looked for in your portfolio while checking regularly?

Interviewer: Hmm.

Resham: So when I was checking my portfolio, I was just looking at what stocks they invested in because after two or three SIPs, I got some understanding of how these mutual funds work and select stocks. So I was checking if the stocks I researched were available in the funds I invested in.

Interviewer: The improvement I wish I had made was during the bull run in the commodity market. Like silver and gold prices were skyrocketing. I should have invested in asset allocation funds then.

Interviewer: You invested, and then you took your money out? If you remember.

Resham: Uh... yeah, I invested in a particular stock, but since we are talking about funds, I should have done more investing in those as well. I earned 60-70% on a silver ETF in just one month, but I hardly invested 2-3k, so the gain wasn't that big to celebrate.

Interviewer: Hmm, hmm, hmm. So, is there anything we have missed till now, that we should discuss?

Resham: Uh... No, I don't think we have missed anything, we touched on all the points... yeah, yeah. Since this call was purely dedicated to the SIP, we couldn't discuss other parts... but I think we covered everything about it.

Interviewer: Let's say you have an extra 10k next month... and next month is in two or three days. And you are using XYZ app.

Resham: Hmm.

Interviewer: What do you think you will check while starting a new fund? And what do you think the app is missing when you start a new SIP, that you have to go outside the app to check?

Resham: If I am starting a new investment with 10k...

Interviewer: Next month.

Resham: Yeah. If I have to start a new SIP.

Interviewer: 10k, let's say you put 5k or 2-3k in a new fund.

Resham: I wouldn't look for the flashy or famous funds. I'd look for something like the Carnelian fund... started by the former co-chairman of Edelweiss fund, who has a 1,000-crore net worth. I'd bet more on the person managing the fund because of their track record of exceptional returns. As for the app, one missing feature is the track record of the fund managers. It's very important because they manage the stocks. If we don't know their past performance in previous companies, we can't assess their expertise.

Interviewer: Like XYZ fund...

Resham: It had given the maximum return in the small cap category.

Interviewer: Quant?

Resham: Yeah, Quant. Some people played really well with those funds or stocks, buying and selling on time.

Interviewer: Using algo trading.

Resham: Yeah, kind of algo-manual trading. So I would check the person managing the fund and their track record.

Interviewer: So currently, apps don't provide the details of the fund manager, right?

Resham: Yes.

Interviewer: They only provide basic numbers and names of famous fund managers, like Rajeev Thakkar in Parag Parikh Flexi Cap.

Resham: Right.

Interviewer: So if the app provided the fund manager's name and a link to their summary... it would help you make a better decision by understanding their mindset and thinking, right?

Resham: Yes, exactly.

Interviewer: What if the app also provided the criteria they use to choose companies, their goals... and if your expectations align with theirs? Like, if I want exponential returns, and the fund aims to be top in its category... would that help you?

Resham: Yes, it would help. There are two ways to look at it. If they can deliver what they promise, their past performance will show it. Secondly, if I don't believe in their vision, I wouldn't invest. I have to believe in the fund manager's words. I don't have much of an option since I'm just starting out...

Interviewer: Makes sense.

Resham: Hello?

Interviewer: Yes, yes. Okay, I'm stopping the recording.

Sagar

Interviewer: One minute.

Interviewer: Sir, these questions are related to investments, specifically related to SIPs.

Sagar: Okay.

Interviewer: So, when you first started an SIP...

Sagar: Hmm.

Interviewer: Why did you start it, what was your thinking, or what was happening in your life that you started the SIP?

Sagar: When I first started the SIP, I didn't even know what an SIP was. I learned about it from others. And I had to do it as an investment, so I started it with a small amount.

Interviewer: So... why did this happen? It's fine that you got the information and everything, but why did you do it right then?

Sagar: Basically, I had to invest it somewhere. That's why I started it slowly, with small amounts.

Interviewer: Okay, okay.

Interviewer: So, the first fund you started...

Sagar: Yes.

Interviewer: What were your expectations for it?

Sagar: My expectation was that... the first one I started, I knew it wasn't for the short term, it was for the long term... at least more than 10 years. And my expectation was that in 10 years it should give me at least 20% returns overall.

Interviewer: Overall. And are you continuing that SIP?

Sagar: Yes, that one is still running. The one I started first.

Interviewer: Okay.

Interviewer: So is that the only one, in the middle I skipped it two or three times.

Sagar: Sometimes I edit the amount, sometimes I increase it, sometimes I decrease it based on what I invest monthly. So I've kept it running.

Interviewer: What did you say?

Sagar: I skipped it three or four times sometimes... it's a monthly SIP. So I skipped it three-four times, and sometimes I would put more if I had a lot of savings... and sometimes I'd put less.

Interviewer: Okay. So next, when you first started the SIP, how did you track it? Time interval, and what did you track in it?

Sagar: First, when I started it, I used to check it daily. At least for the first three-four months. Because it was new... I was scared, like, "Where will my money go? What will happen?" Since it was new for me, I'd check it daily. Then slowly I realized my money wasn't going anywhere. So I don't track it regularly anymore. I check it maybe once a week, or twice... to see what the progress is, basically.

Interviewer: Basically. And what app do you use?

Sagar: I use the Groww app. I used Zerodha before, but I didn't understand the user interface, it was too hard for me to use. Groww app was easier.

Interviewer: So exactly what were you checking when you checked it regularly?

Sagar: I was checking... how much my money increased or decreased today. I was mainly checking that. And I knew that initially my money would be in minus. That's mainly what I was checking.

Interviewer: And there is another concept in this, XIRR... Groww shows it...

Sagar: Yes, yes.

Interviewer: So were you ever confused, like what is this concept?

Sagar: I didn't understand it exactly, I searched on Google to see what it is. It's a finance technical term, so I didn't understand it fully. But it shows the XIRR percentage on the Groww app. When you first start the SIP, it doesn't show it immediately, it shows it after a few months... once you get an average of four-five months. I think it shows up early sometimes, but not always.

Interviewer: When you track your SIP regularly, did you ever look at your portfolio and get confused or surprised by something?

Sagar: No... because I just told you, the user interface of the Groww app is really good, so I didn't get confused. I was just scared at the beginning. My continuous SIPs were in the minus for about a year to 15 months, I think.

Interviewer: Which year did you start the SIP in?

Sagar: I think... 2021. Yes, 2021 or 2022. During COVID.

Interviewer: And... initially, when you started... how did you decide the amount? That you want to put this specific amount.

Sagar: I didn't have a large payment then, and my expenses were high. Because of medical conditions at home... so I only tried to put a specific small amount. I didn't take out two or three SIPs initially. Just one. I gave it a specific amount, and then after a year, as things got more stable, I started another one. Then a third one... I increased them a little bit.

Interviewer: So, for the first one you took out, what was your expectation or goal... did you have any specific goal after 10 years?

Sagar: I was thinking about 10 years... basically a bit futuristic.

Interviewer: When you start an SIP, do you set up auto-pay or auto-debit?

Sagar: In Groww, I have auto-debit on. Initially, I didn't for five or six months. Then I set up auto-debit.

Interviewer: If you want to skip, like you said you skipped three to four times in those four or five years... you remember the date before hand?

Sagar: Yes, I remember the date, so I can pause it.

Interviewer: When you set up auto-pay, did you face any difficulty?

Sagar: No, I didn't face any difficulty with the Groww app.

Interviewer: And you said you skipped the SIP. Did you skip it continuously or occasionally?

Sagar: Only once did I skip for two months continuously. When you skipped for two months, was there an option where it said, "If you skip for one or three more months, it won't continue..."

Sagar: Yes, yes. In the third month, it showed that if I skipped again, it would get cancelled automatically... and I'd have to start a new SIP. Yes, then it would stop there, and I would not be able to invest more.

Interviewer: Have you ever seen your auto-pay not deducting money?

Sagar: No, no, I haven't had that problem. The money gets deducted on the same day.

Interviewer: As you mentioned, you took out multiple SIPs.

Sagar: Yes.

Interviewer: Did you ever decrease the amount in one fund and increase it in another? And why did you do that?

Sagar: Yes, I do that sometimes. Like, if I know I have a certain budget and expenses for the month, and I have this much savings, I reduce the amount in some funds. I don't usually skip the SIPs, I just reduce the amounts. Because there's an option in Groww, I edit the amount.

Interviewer: So basically, let's say you have an SIP for next month, and you are putting 5,000 rupees. You know you'll save 2,000 rupees out of it... so you edit it to 2,000 rupees right now?

Sagar: Yes, I know it takes three working days, so I do it four or five days in advance, or if I know 10 or 15 days ahead...

Interviewer: So, did your SIP ever get skipped automatically? Did you ever skip an SIP?

Sagar: Automatically? Automatically means... the money isn't there in the account, right?

Interviewer: No, it didn't get skipped automatically. I skipped it.

Interviewer: You skipped it.

Sagar: Yes.

Interviewer: Okay.

Interviewer: So... let's say... when you start an SIP...

Sagar: Yes.

Interviewer: Do you think... if there was any other experience that could be better... in terms of choosing a fund...

Sagar: What kind of experience?

Interviewer: Like... when you were starting your first or second SIP. Was there any specific experience you had while choosing the fund, that you thought could be better or...

Sagar: To decide the amount... that was a little hard to figure out then. I did that myself. But... now, a lot of people gave me guidance, so I could decide from experience. But back then, I didn't have that experience.

Interviewer: So, when you think about it now... is there any important thing we missed?

Sagar: I think we should think about it.

Interviewer: What do you think your SIP missed?

Sagar: Which SIP did you say?

Interviewer: When you first started... let's say you want to start a new SIP, and you're thinking... "This is how they explain it, and this is what it does."

Sagar: So, before I checked on YouTube, I researched large-cap, small-cap, mid-cap... what those terms meant, I listened to other people. I looked at that, then decided. And I gave more to the large-cap for the long term... it's like a safe...

Interviewer: You felt like the first SIP should be safe, so you went with the large cap...

Sagar: Yes, the first SIP, I went with safe... so I did the large cap. Second one I did after a year, I mixed large-cap and mid-cap. That's what I did.

Interviewer: What information did you basically look at when you started the SIP for the first time? Large cap is a term, a category... but for the specific fund, what did you look at to decide?

Sagar: First, I looked at the company. Which company it is, what is it... is it trustworthy or not. Which fund was yours?

Sagar: I think it was SBI... the very first one.

Interviewer: Do you still have it?

Sagar: Yes, I do. SBI, SBI Large Cap...

Interviewer: Hmm.

Sagar: Basically, I wanted it to be trustworthy.

Interviewer: And when you used to look at your portfolio in the new SIP, did you have any difficulty understanding the portfolio as a first-time user?

Sagar: Some terminologies were unknown, like XIRR... I didn't know what it meant initially, and there were many other terms I didn't know.

Interviewer: Let's say, the last time you had a question or a doubt about a fund... how did you solve it? Did you use the internet or go to a person...

Sagar: The relationship manager, I confirmed with him... what exactly it is. And I also did some personal research, through YouTube etc.

Interviewer: Now, when you were taking out the Tata fund for the first time, did you feel like, if you had more information about that specific fund, you would choose a better one instead of Tata or something else? I mean, basically, did you feel like if there was some additional information you could have made a better choice?

Sagar: As far as starting goes, everything was correct.

Interviewer: The excitement was fresh, so you were just thinking about getting the money quickly...

Sagar: Yeah, six months, one year... all that. But that's not possible with SIPs. It would have been better to get some clear guidance on the app, or during the purchase, or through an advisor.

Interviewer: And is there any other thing you feel should be better understood about a specific fund?

Sagar: Actually... since you asked, the details of a particular fund... it all remains the same. But my basic question is, if you're pulling out a new fund for your first SIP, what additional information would help you make a better decision?

Sagar: At this point, everything is available everywhere...

Interviewer: So, if you want to change one thing about your SIP investment or your SIP experience... what would it be and why?

Sagar: No, there's no such example. I can't give one...

Interviewer: Let's say you have 10,000 rupees extra next month.

Sagar: Hmm.

Interviewer: And you want to invest a part of it, like 3,000 or 5,000. So you leave the old experience, what would you check now when deciding on a new fund?

Sagar: I would look at the returns first, and then the top Nifty 50 funds... which funds cover them, I'd check those. And among them... which good companies are doing well and progressing, where there's a little loss but not a huge drop, I'd look at the funds that have those companies... and then invest accordingly. Basically, the portfolio of a basket.

Interviewer: Okay. What else would you check additionally?

Sagar: Returns, companies... and the basket of funds.

Interviewer: And holdings.

Sagar: Yes, holdings... that's the basket of stocks... that has everything in it. That's what I'd look at.

Interviewer: Did you feel like you missed something or should we discuss something you felt was important?

Sagar: We went really deep into this. Since this call was purely dedicated to the SIP...

Interviewer: If you were to start a new SIP... would you look at the fund manager's history?

Sagar: I see.

Interviewer: One feature that I've noticed in Groww...

Sagar: Yes, yes.

Interviewer: But do we ever discuss this? I mean, a fund manager is doing everything... we should know how much experience they have, or what they do... the returns depend on that. I forgot about that then.

Interviewer: In the Groww app, these things you told me... you said, "If I take this out now, are the answers provided clearly?"

Sagar: The fund manager details are there... name... yes, the name is there. Then the details can be found on Google.

Interviewer: So you have to go outside the app to find out...

Sagar: Yes.

Interviewer: But there's a glitch I noticed in the Groww app... like I told you, if I update it today, the update doesn't show up... I mean, I check it after 12:00 sometimes... it usually updates when the market opens...

Sagar: Yeah, at 9:30 or whatever.

Interviewer: I'm telling you about the glitch. It should update at 9:30, but if I open it at 9:30, it shows "X amount" in changes... but after half an hour when I refresh it, it changes again.

Interviewer: That has happened five or six times now with me...

Interviewer: That glitch is there, the amount gets changed. Like, for example... if the returns are 500 rupees one day, sometimes it shows less, 100 to 150... and then after refreshing, it fixes itself... but initially it should show the correct amount, which it doesn't.

Sagar: Yes, I feel that glitch sometimes.

Interviewer: Okay. So, is there anything we missed?

Sagar: Fund manager was one... that we just discussed. I felt the fund manager is also as important... I forgot to mention it, but how much experience they have and how they understand things... returns also depend on them... I forgot about that.

Interviewer: Okay, I'll stop the recording now.